AUDITED FINANCIAL STATEMENTS - FISCAL YEAR 2025 (EXCERPT)

REPORT OF INDEPENDENT AUDITORS

We have audited the accompanying consolidated financial statements of the Company and its subsidiaries, which comprise the consolidated balance sheet as of December 31, 2025, and the related consolidated statements of operations (the "Income Statement"), comprehensive income, changes in stockholders' equity and cash flows for the year then ended, and the related notes to the consolidated financial statements.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of the Company as of December 31, 2025, and the results of its operations and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement. We believe that our audit provides a reasonable basis for our opinion.

We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with GAAP, and for the design, implementation and maintenance of internal control relevant to their preparation and fair presentation that is free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists.

As part of an audit in accordance with generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also identify and assess the risks of material misstatement, obtain an understanding of internal control relevant to the audit, evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, and evaluate the overall presentation of the financial statements.

Critical Audit Matter - Valuation of the Investment Portfolio and Related Credit Loss Estimate

The critical audit matter communicated below is a matter arising from the current-period audit of the financial statements that was communicated to those charged with governance and that: (1) relates to accounts or disclosures that are material to the financial statements and (2) involved especially challenging, subjective, or complex auditor judgment. The communication of a critical audit matter does not alter in any way our opinion on the financial statements, taken as a whole.

As described in Note 1 and Note 13 to the financial statements, the Company's investment portfolio is measured at fair value, and management applies a credit-loss model to estimate the credit-related component of any decline in fair value below amortized cost. Auditing the credit-related decline estimate involved a high degree of subjective auditor judgment because of the significant estimation uncertainty inherent in the model's key assumptions, including the assessment of whether an unrealized loss reflects a credit deterioration in the underlying issuer or a non-credit factor such as a change in market interest rates.

Our audit procedures related to the credit-related decline estimate included the following, among others: we evaluated the reasonableness of management's methodology for separating the credit-related and non-credit components of the fair-value decline; we tested the completeness and accuracy of the underlying data used in the model; and we evaluated the classification disclosed in Note 1 for consistency with the portfolio's own contractual and held-for-investment characteristics.

Emphasis of Matter - Subsequent Events

As discussed in the Subsequent Events note to the financial statements, certain events occurring after the fixed valuation date referenced throughout this filing were evaluated and are disclosed informationally, without being reflected in any valuation-date-anchored figure presented in this filing. Our opinion is not modified with respect to this matter.

Report on Other Information

Management is responsible for the other information included in the annual report. Our opinion on the financial statements does not cover the other information, and we do not express an opinion or any form of assurance thereon.

This report is intended solely for the information and use of the Company's management, its board of directors, and the parties identified in the engagement letter governing this audit, and is not intended to be, and should not be, used by any other party.

CONSOLIDATED STATEMENT OF OPERATIONS (EXCERPT)

Line item	Fiscal Year 2025
Consolidated Net Income	9,400,000.00
Add: Provision for Taxes	3,100,000.00
Add: Consolidated Interest Expense	15,700,000.00
Add: Depreciation and Amortization expense	10,300,000.00

The line items above are presented on the same basis as, and are the direct GAAP inputs to, the Credit Agreement's Consolidated EBITDA definition (Article I, clause preceding the addback list); this statement does not itself compute Consolidated EBITDA, which is a defined term of the Credit Agreement, not of these financial statements.

CONSOLIDATED BALANCE SHEET (EXCERPT)

The condensed balance sheet below is presented as of December 31, 2025 and December 31, 2024, the two most recent fiscal year ends, in accordance with GAAP's comparative-statement presentation requirement.

Balance sheet line item (Dec 31, 2025)	Amount
Cash and cash equivalents	9,792,000.00
Accounts receivable, net	14,795,000.00
Inventory, net	10,222,000.00
Prepaid expenses and other current assets	3,250,000.00
Investment portfolio, at fair value (Note 1, Note 13)	11,100,000.00
Property, plant and equipment, net (Note 4)	41,500,000.00
Goodwill and intangible assets, net (Note 5)	28,700,000.00
Senior Notes payable (Note 6)	175,000,000.00
Revolving credit facility payable (Note 6)	12,000,000.00
Industrial Revenue Bonds payable (Note 6)	24,500,000.00
Finance lease obligations (Note 7)	4,300,000.00

The condensed presentation above omits certain immaterial balance sheet lines and the full prior-year comparative column; the complete comparative balance sheet is available in the Company's full financial statement package, not reproduced in this excerpt.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME (EXCERPT)

Comprehensive income for the year ended December 31, 2025 consists of Consolidated Net Income, presented in the Consolidated Statement of Operations above, adjusted for other comprehensive income items arising from the unrealized change in fair value of the investment portfolio described in Note 1 and Note 13, net of the reclassification of any credit-related decline recognized in earnings under the applicable accounting subtopic.

Comprehensive income line item	Fiscal Year 2025
Consolidated Net Income	9,400,000.00
Other comprehensive income (loss): unrealized non-credit fair-value change	(550,000.00)
Total comprehensive income	8,850,000.00

CONSOLIDATED STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY (EXCERPT)

Stockholders' equity increased during the year ended December 31, 2025 by Consolidated Net Income and the other comprehensive income items presented above, and decreased by equity-based compensation forfeitures and by the annual distribution to the Company's controlling equity sponsor described in Note 10. No new equity was issued and no equity was repurchased during the year.

CONSOLIDATED STATEMENT OF CASH FLOWS (EXCERPT)

Net cash provided by operating activities for the year ended December 31, 2025 reflects Consolidated Net Income adjusted for depreciation and amortization, the credit-related and non-credit fair-value decline adjustments described in Note 1 and Note 13, and the changes in operating assets and liabilities discussed in the working capital analyses referenced elsewhere in this engagement's work product.

Net cash used in investing activities primarily reflects capital expenditures for property, plant and equipment described in Note 4. Net cash used in financing activities primarily reflects scheduled principal payments on the Industrial Revenue Bonds' serial maturities described in Note 6, finance lease payments described in Note 7, and the equity distribution described in Note 10.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Presentation

The accompanying consolidated financial statements have been prepared in accordance with GAAP and include the accounts of the Company and its wholly owned subsidiaries. All intercompany balances and transactions have been eliminated in consolidation.

Principles of Consolidation

The Company consolidates entities in which it holds a controlling financial interest, determined based on voting control for voting interest entities and based on the variable interest model for any entity that meets the definition of a variable interest entity. The Company has not identified any variable interest entity requiring consolidation for the year ended December 31, 2025.

Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period. The most significant estimates affecting these financial statements relate to the credit-related decline in the investment portfolio's fair value described below, the excess-and-obsolete inventory reserve described in Note 3, and the useful lives applied to property, plant and equipment described in Note 4. Actual results could differ from those estimates.

Cash and Cash Equivalents

The Company considers all highly liquid investments purchased with an original maturity of three months or less to be cash equivalents. Cash pledged as collateral for outstanding letters of credit is classified separately as restricted cash and excluded from cash and cash equivalents.

Accounts Receivable and Allowance for Credit Losses

Accounts receivable are stated net of an allowance for expected credit losses, estimated under ASC 326-20's current expected credit loss model using the Company's own historical loss experience adjusted for current conditions and reasonable and supportable forecasts. This model applies to trade receivables and is distinct from the credit-loss evaluation applicable to the investment portfolio described below, which is governed by the investment-securities credit-loss guidance appropriate to the portfolio's own classification.

Inventory

Inventory is stated at the lower of standard cost, which approximates actual cost on a first-in, first-out basis, or net realizable value. The Company maintains a reserve for excess and obsolete inventory based on a rolling twelve-month sales-velocity computation, refreshed quarterly. See Note 3 for further detail.

Property, Plant and Equipment

Property, plant and equipment are stated at cost less accumulated depreciation. Depreciation is computed on a straight-line basis over the estimated useful lives of the related assets. See Note 4 for further detail.

Goodwill and Intangible Assets

Goodwill is not amortized but is tested for impairment at least annually, and more frequently if events or circumstances indicate that an impairment may have occurred. Intangible assets with finite lives are amortized on a straight-line basis over their estimated useful lives. See Note 5 for further detail.

Investments

The Company's investment portfolio, consisting of corporate and municipal debt securities, is classified as Available-for-Sale ("AFS") under ASC 326-30. AFS debt securities are carried at fair value, with unrealized gains and losses (net of any allowance for credit losses) reported in accumulated other comprehensive income.

Investment portfolio	Amount
Amortized cost	12,000,000.00
Fair value	11,100,000.00
Estimated credit-related decline (ASC 326-30)	350,000.00
Estimated non-credit decline (ASC 326-30)	550,000.00

Leases

The Company determines whether an arrangement is or contains a lease at inception, and classifies each lease as an operating lease or a finance lease under ASC 842. See Note 7 for further detail.

Revenue Recognition

The Company recognizes revenue when control of promised goods or services is transferred to customers, in an amount that reflects the consideration the Company expects to be entitled to in exchange for those goods or services, in accordance with ASC 606. See Note 2 for further detail.

Income Taxes

The Company accounts for income taxes under the asset-and-liability method, recognizing deferred tax assets and liabilities for the future tax consequences of temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases. See Note 8 for further detail.

Recently Adopted Accounting Pronouncements

ASU 2019-10 delayed the effective date of ASC 326 (Topic 326, current expected credit losses) to fiscal years beginning after December 15, 2022, including interim periods within those fiscal years, for entities that are not SEC filers eligible to be smaller reporting companies. The Company adopted ASC 326 effective for its fiscal year beginning January 1, 2023, and the credit-loss policies described above and in Note 13 reflect that adopted standard; no transition adjustment remains open as of December 31, 2025.

Recently Issued Accounting Pronouncements Not Yet Adopted

The Company has evaluated recently issued accounting pronouncements not yet effective for the Company and does not expect any of them, individually or in the aggregate, to have a material effect on the Company's consolidated financial statements upon adoption.

NOTE 2. REVENUE RECOGNITION

Application of the Five-Step Model

The Company applies the five-step model under ASC 606: identifying the contract with a customer, identifying the performance obligations in the contract, determining the transaction price, allocating the transaction price to the

performance obligations, and recognizing revenue when (or as) the Company satisfies each performance obligation.

Disaggregation of Revenue

Substantially all of the Company's revenue is generated from product sales to industrial and manufacturing distribution customers, recognized at a point in time upon shipment or delivery, consistent with the shipping terms negotiated with each customer.

Contract Assets and Contract Liabilities

The Company's contract liabilities consist principally of customer advance payments received in connection with volume-commitment milestones under multi-year supply agreements, recognized as deferred revenue until the associated performance obligation is satisfied. The Company's contract assets are not material.

Variable Consideration and Rebate Programs

The Company estimates variable consideration, including volume rebates extended to certain distribution customers, using the expected-value method and constrains the estimate to the extent it is probable that a significant revenue reversal will not occur when the uncertainty is resolved.

Principal Versus Agent Considerations

The Company evaluated its role in each material revenue arrangement and concluded it acts as principal, rather than agent, in substantially all of its revenue-generating transactions, because it controls the specified good before transferring it to the customer.

NOTE 3. INVENTORY

Composition

Inventory consists of raw materials, work-in-process and finished goods, further discussed by category in the Net Working Capital Analysis referenced elsewhere in this engagement's work product.

Reserve for Excess and Obsolete Inventory

The Company's reserve for excess and obsolete inventory is computed on a rolling twelve-month sales-velocity basis and refreshed quarterly. Additions to, and reversals of, the reserve are recorded within cost of goods sold.

Consignment Inventory

Inventory held on consignment at certain customer locations remains the Company's property, and title and the risks and rewards of ownership remain with the Company until the customer draws the inventory for its own production use, consistent with the terms described in the Net Working Capital Analysis referenced elsewhere in this engagement's work product.

NOTE 4. PROPERTY, PLANT AND EQUIPMENT

Composition and Depreciation

Property, plant and equipment consist principally of the Company's manufacturing facility and production equipment, financed in part through the Industrial Revenue Bonds described in Note 6. Depreciation expense is recorded on a straight-line basis over estimated useful lives ranging from five years for production equipment to thirty years for the manufacturing facility itself.

Impairment

The Company evaluates property, plant and equipment for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset group may not be recoverable. No impairment indicators were identified during the year ended December 31, 2025.

Assets Financed Through the Industrial Revenue Bonds

The manufacturing facility and certain production equipment financed through the proceeds of the Industrial Revenue Bonds described in Note 6 are pledged as security for those bonds under the conduit financing structure's own security documents.

NOTE 5. GOODWILL AND INTANGIBLE ASSETS

Goodwill

Goodwill arose from a series of prior acquisitions, including the tuck-in acquisition referenced in the deferred contingent earn-out obligation discussed in the working capital analyses referenced elsewhere in this engagement's work product. The Company operates as a single reporting unit for goodwill impairment testing purposes.

Annual Impairment Assessment

The Company performed its annual qualitative goodwill impairment assessment as of its annual testing date and concluded it was not more likely than not that the reporting unit's fair value was below its carrying amount; accordingly, no quantitative impairment test was required and no impairment was recorded for the year ended December 31, 2025.

Intangible Assets

Intangible assets consist principally of customer relationship intangibles and developed-technology intangibles, both amortized on a straight-line basis over their estimated useful lives, which range from seven to fifteen years.

NOTE 6. DEBT

The Company's outstanding indebtedness as of December 31, 2025 consists of the Senior Notes, borrowings under the revolving credit facility, and industrial revenue bonds assumed in connection with a prior facility expansion, as summarized below.

Instrument	Principal / Commitment	Rate	Maturity

Senior Notes	175,000,000.00	7.75000%	2031-06-15
Revolving credit facility (committed)	60,000,000.00	variable	n/a - revolving
Revolving credit facility (drawn)	12,000,000.00	variable	n/a - revolving
Industrial Revenue Bonds (conduit-issued)	24,500,000.00	serial/term, see IRB Official Statement	serial 2027-2033; term bond 2039

The Industrial Revenue Bonds are conduit-issued through a municipal issuer and are secured by an unconditional guarantee of the Company; the Company assumed this indebtedness, rather than repaying it, in connection with the Transaction. See the Official Statement excerpt for the conduit structure and the tax-exemption discussion applicable to the Industrial Revenue Bonds.

Optional Redemption and Change of Control

The Senior Notes are subject to a customary optional redemption schedule and a change-of-control put right at a specified price, each set out in the Senior Notes indenture referenced elsewhere in this corpus; this note does not restate those provisions, which are governed exclusively by the indenture's own text.

Restrictive Covenants

The Credit Agreement contains customary affirmative and negative covenants, including financial maintenance covenants tested quarterly, and restrictions on liens, restricted payments and additional indebtedness, each set out in the Credit Agreement's own text and not restated here.

Guarantees and Security

The Senior Notes and the Credit Agreement are each guaranteed by the Company's domestic subsidiaries and secured by substantially all of the Company's and the guarantors' assets, subject to customary exceptions set out in the respective governing documents.

Debt Issuance Costs

Debt issuance costs associated with the Senior Notes and the Credit Agreement are presented as a direct deduction from the carrying amount of the related debt liability and amortized as interest expense over the term of the related debt using the effective-interest method.

NOTE 7. LEASES

Finance Leases

The Company leases certain production equipment under arrangements that meet the finance-lease classification criteria under ASC 842, principally because the lease term is for a major part of the underlying asset's remaining economic life. The finance lease right-of-use asset and the corresponding lease liability are presented in the notes and schedules referenced by the Net Debt and Cash Analysis elsewhere in this engagement's work product.

Finance lease information	Amount
Finance lease liability, total	4,300,000.00

Operating Leases

The Company leases certain warehouse and office space under arrangements classified as operating leases, for which the Company recognizes a right-of-use asset and a corresponding lease liability measured at the present value of the remaining lease payments, discounted using the Company's incremental borrowing rate at lease commencement.

Practical Expedients and Policy Elections

The Company has elected the practical expedient not to separate lease and non-lease components for its equipment and real-estate leases, and applies the short-term lease exemption to leases with an initial term of twelve months or less.

NOTE 8. INCOME TAXES

Components of the Provision for Income Taxes

The Company's provision for income taxes for the year ended December 31, 2025 consists of both a current and a deferred component, computed under the asset-and-liability method described in Note 1 above.

Income tax provision component	Amount
Total provision for income taxes	3,100,000.00

Deferred Tax Assets and Liabilities

The Company's net deferred tax liability principally reflects the excess of tax depreciation over book depreciation on the property, plant and equipment described in Note 4, partially offset by deferred tax assets for the excess-and-obsolete inventory reserve described in Note 3 and the product warranty reserve described in Note 9.

Uncertain Tax Positions

The Company evaluates its tax positions for recognition and measurement based on a more-likely-than-not threshold. The Company had no material unrecognized tax benefits as of December 31, 2025 and does not expect any material change to its unrecognized tax benefits within the next twelve months.

State Income Taxes

The Company files income tax returns in the United States federal jurisdiction and in the states in which it conducts business, applying an apportionment methodology consistent with each state's own statutory framework.

Federal and State Estimated Tax Payments

The Company made quarterly estimated federal and state income tax payments throughout the year ended

December 31, 2025, consistent with its historical filing practice, and had no material estimated-payment underpayment penalty exposure as of that date.

NOTE 9. COMMITMENTS AND CONTINGENCIES

The Company is party to the Senior Notes indenture, the Credit Agreement and the guarantee described in Note 6 above, each of which contains customary covenants, including restrictions on liens, restricted payments and indebtedness. The Company was in compliance with all such covenants as of December 31, 2025. The Company is also from time to time party to litigation and other claims arising in the ordinary course of business, none of which management believes, individually or in the aggregate, would have a material adverse effect on the Company's consolidated financial condition.

Product Warranty Reserve

The Company records a reserve for product warranty claims based on historical claims experience as a percentage of trailing twelve-month product revenue, refreshed quarterly, as further discussed in the working capital analyses referenced elsewhere in this engagement's work product.

Environmental Matters

The Company maintains a reserve for environmental remediation related to a legacy condition at one of its facilities, assessed under the applicable loss-contingency accounting standard. The reserve is not material to the Company's consolidated financial statements taken as a whole.

Guarantees to Third Parties

The Company has guaranteed a limited-recourse lease obligation of a former subsidiary at its principal facility landlord's request. No draw under the guarantee has ever been requested or is currently considered probable, and no liability has been accrued for it.

NOTE 10. RELATED PARTY TRANSACTIONS

The Company is party to a customary management services agreement with its controlling equity sponsor, under which the Company pays annual management, monitoring, consulting and advisory fees. These fees are the same fees described in the Credit Agreement's Consolidated EBITDA definition clause permitting an addback for Sponsor management fees paid under a disclosed management services agreement; this Note does not separately restate the addback amount, which is a Credit Agreement computation, not a financial statement line item.

Board Representation

The Company's controlling equity sponsor is entitled to designate a majority of the Company's board of directors under the terms of the sponsor's own governing equity documents, which are not part of these financial statements.

NOTE 11. EMPLOYEE BENEFIT PLANS

Defined Contribution Plan

The Company sponsors a defined contribution 401(k) plan covering substantially all employees, under which the Company matches a portion of each participant's elective deferrals up to a specified percentage of eligible compensation. Company matching contributions are expensed as incurred.

Equity-Based Compensation

The Company's controlling equity sponsor has granted equity-based awards to certain members of Company management under the sponsor's own equity incentive plan; the Company recognizes compensation expense for these awards over the requisite service period, with a corresponding increase to additional paid-in capital, consistent with awards settled in the sponsor's own equity rather than the Company's.

No Defined Benefit Plan

The Company does not sponsor any defined benefit pension plan or any postretirement medical or life insurance benefit plan for its employees.

NOTE 12. SEGMENT INFORMATION

The Company operates in a single reportable segment. The Company's chief operating decision maker reviews financial information, and allocates resources, on a consolidated basis, consistent with the single-reporting-unit basis applied to goodwill impairment testing in Note 5 above.

Major Customers

The Company's largest customer accounted for a significant, but not majority, percentage of consolidated revenue for the year ended December 31, 2025, further discussed by customer in the receivables aging detail presented in the Net Working Capital Analysis referenced elsewhere in this engagement's work product.

Geographic Information

Substantially all of the Company's revenue is generated from, and substantially all of its long-lived assets are located in, the United States.

NOTE 13. FAIR VALUE MEASUREMENTS

The Company's investment portfolio, disclosed in Note 1 and in the Investments footnote above, is measured at fair value on a recurring basis using Level 2 inputs (quoted prices for similar instruments in active markets and observable market inputs other than quoted prices), consistent with the amortized cost and fair value amounts presented in the table in Note 1 above. The Company held no Level 3 (unobservable input) investments as of December 31, 2025.

Fair Value of Guarantees

The Company's guarantees discussed in Note 9 above are not measured at fair value on a recurring basis, because

no draw under either guarantee is currently considered probable.

Fair Value of Debt

The fair value of the Company's Senior Notes, estimated using observable market inputs including the trade data referenced elsewhere in this engagement's work product, differs from the Senior Notes' carrying amount presented in Note 6 above, which is measured at amortized cost, not fair value, consistent with the Company's intent and ability to hold the underlying obligation to maturity.

NOTE 14. ADDITIONAL DISCLOSURES

The subsections below present additional disclosures required or customary for a private company's audited financial statements, organized by topic rather than by the numbered note structure above, consistent with this firm's standard presentation for a statement set of this scope.

Basis of Reporting

These financial statements are prepared for the Company's own internal reporting purposes and for delivery to its lenders and bondholders under the Credit Agreement's and the Senior Notes indenture's respective financial-reporting covenants. The Company is not itself an SEC filer and these statements are not filed with, or reviewed by, the Securities and Exchange Commission.

Facilities

The Company operates a single manufacturing facility and an adjacent distribution warehouse, both owned by the Company and financed in part through the Industrial Revenue Bonds described in Note 6.

Employees

The Company employed a stable headcount throughout the year ended December 31, 2025, with no workforce reduction program and no material change in the composition of its workforce between hourly production employees and salaried administrative employees.

Industry and Competitive Environment

The Company competes in a fragmented industrial-products market against several regional and national competitors, none of which the Company believes holds a dominant market position.

Customers and Distribution

The Company sells principally through direct sales relationships with industrial distribution customers, further discussed by customer concentration in Note 12 above and in the receivables aging detail presented in the Net Working Capital Analysis referenced elsewhere in this engagement's work product.

Regulatory Environment

The Company's manufacturing operations are subject to customary federal, state and local environmental, health and safety regulations applicable to industrial manufacturers, compliance with which the Company monitors through its own internal compliance function.

Quality Assurance and Certifications

The Company maintains applicable third-party quality certifications for its manufacturing processes, renewed on the certifying body's own periodic audit schedule; no certification lapsed or was suspended during the year ended December 31, 2025.

Information Technology Infrastructure

The Company completed the ERP platform migration described in the Net Working Capital Analysis referenced elsewhere in this engagement's work product during the year ended December 31, 2025; the migration did not affect the completeness or accuracy of the financial information underlying these financial statements.

Insurance Program Overview

The Company maintains customary property, casualty, general liability and product liability insurance coverage at levels management believes are consistent with industry practice for a manufacturer of this size.

Concentration of Credit Risk

Financial instruments that potentially subject the Company to concentrations of credit risk consist principally of cash and cash equivalents, the investment portfolio described in Note 1, and trade accounts receivable. The Company places its cash and cash equivalents with financial institutions it believes to be of high credit quality.

Concentration of Suppliers

The Company's principal raw-material supplier, discussed in the Net Working Capital Analysis referenced elsewhere in this engagement's work product, is a large, established supplier with which the Company has a multi-year relationship; the Company believes alternative sources of supply are available should that relationship terminate.

Advertising Costs

Advertising costs are expensed as incurred and are not material to the Company's consolidated financial statements taken as a whole.

Foreign Currency

Substantially all of the Company's transactions are denominated in United States dollars; the Company does not have material foreign currency exposure and does not use derivative instruments to hedge foreign currency risk.

Shipping and Handling Costs

Shipping and handling costs billed to customers are included in revenue, and the related costs are included in cost of goods sold, consistent with the Company's accounting policy election under ASC 606.

Earnings Per Share

The Company is a private company with a single class of common stock held entirely by its controlling equity sponsor and management; earnings per share information is not presented, consistent with the exemption available to non-public entities.

Held-for-Sale Classification

The Company did not classify any asset group as held for sale during the year ended December 31, 2025.

Business Combinations

The Company did not complete any business combination during the year ended December 31, 2025. The goodwill described in Note 5 above arose from acquisitions completed in prior fiscal years.

Asset Retirement Obligations

The Company has an asset retirement obligation associated with the eventual decommissioning of certain production equipment, measured at its estimated fair value using a present-value technique and accreted over the equipment's remaining useful life. The obligation is not material to the Company's consolidated financial statements taken as a whole.

Capitalized Software Development

Costs incurred in the application-development stage of internal-use software are capitalized and amortized on a straight-line basis over the software's estimated useful life, consistent with the applicable internal-use-software accounting guidance.

Major Maintenance and Turnaround Costs

Costs of major maintenance activities on the Company's production equipment are expensed as incurred, except to the extent a maintenance activity replaces a distinct component that itself meets the capitalization criteria described in Note 4 above.

Idle and Underutilized Assets

The Company did not identify any material idle or underutilized production asset as of December 31, 2025.

Component Accounting

The Company applies component accounting to its manufacturing facility, separately depreciating the building shell, the roof, and major mechanical systems over their own distinct estimated useful lives.

Spare Parts and Maintenance Supplies

Spare parts expected to be consumed within one year are classified within inventory; spare parts with a longer expected consumption period are classified within property, plant and equipment and depreciated over their estimated useful lives.

Construction in Progress

Construction in progress consists principally of production-equipment installations not yet placed in service as of December 31, 2025; depreciation on these assets begins once they are placed in service.

Historical Origin of Goodwill

The goodwill described in Note 5 above originated from the tuck-in acquisition discussed in connection with the deferred contingent earn-out obligation described in the working capital analyses referenced elsewhere in this engagement's work product, together with an earlier, unrelated acquisition completed before the current capital structure was put in place.

Sensitivity of the Impairment Conclusion

The qualitative goodwill impairment assessment described in Note 5 above considered, among other factors, the Company's own recent financial performance, macroeconomic conditions, and industry and market considerations; management does not believe the impairment conclusion is sensitive to reasonably possible changes in those factors individually.

Environmental Remediation Costs

Environmental remediation costs are accrued when it is probable that a liability has been incurred and the amount can be reasonably estimated, consistent with the reserve described in Note 9 above.

Fair Value Option

The Company has not elected the fair value option for any eligible financial instrument.

Software and Internal-Use Software Costs

The Company's internal-use software is used principally in its ERP platform described in the additional disclosures above and is amortized on a straight-line basis over its estimated useful life.

Comprehensive Income Presentation

The Company presents comprehensive income in a single continuous statement, combining the Consolidated Statement of Operations and the Consolidated Statement of Comprehensive Income presented above into one statement for financial-statement-package purposes, though this excerpt presents the two components separately for the reader's convenience.

Recoverability of Deferred Tax Assets

The Company evaluates the recoverability of its deferred tax assets based on the weight of available evidence, including its history of taxable income and its expectation of future taxable income, and has not recorded a valuation allowance against its deferred tax assets as of December 31, 2025.

Litigation Reserve Methodology

The Company records a litigation reserve when a loss is both probable and reasonably estimable, consistent with the

loss-contingency accounting standard referenced in Note 9 above; where a loss is reasonably possible but not probable, the Company discloses the matter without recording a reserve.

Indemnification Obligations

The Company has entered into customary indemnification arrangements in the ordinary course of business, including with its directors and officers; the Company has not accrued a liability for these indemnification obligations because the likelihood of a payment obligation is not probable and, where potentially payable, the amount is not reasonably estimable.

Standby Letters of Credit

The Company has outstanding standby letters of credit issued in the ordinary course of business, collateralized by restricted cash as described in the Net Debt and Cash Analysis referenced elsewhere in this engagement's work product.

Multiemployer Plan Exposure

The Company does not participate in any multiemployer benefit plan and has no related withdrawal-liability exposure.

Workers' Compensation Programs

The Company maintains a state-mandated workers' compensation insurance program consistent with the requirements of the states in which it operates.

Nonqualified Deferred Compensation

The Company maintains a nonqualified deferred compensation arrangement for certain members of management, under which participant deferrals and any Company contributions are recorded as a liability until paid.

NOTE 15. LIQUIDITY AND CAPITAL RESOURCES

The Company's principal sources of liquidity are cash generated from operations and availability under the Revolving Credit Facility described in Note 6 above. Management believes these sources are sufficient to fund the Company's working capital needs, capital expenditure program, and scheduled debt service for at least the twelve months following the date these financial statements were available to be issued.

Seasonality of Working Capital

The Company's working capital needs are seasonal, peaking in the fourth calendar quarter as inventory builds ahead of the Company's shipping season, consistent with the seasonality pattern described in the Net Working Capital Analysis referenced elsewhere in this engagement's work product. The Revolving Credit Facility is sized, in management's judgment, to accommodate this seasonal peak without approaching the facility's committed capacity.

Off-Balance-Sheet Arrangements

Other than the guarantees described in Note 9 above, the Company does not have any off-balance-sheet arrangement that has, or is reasonably likely to have, a material current or future effect on the Company's financial condition, results of operations, liquidity, or capital resources.

Covenant Headroom

The Company was in compliance with all financial maintenance covenants under the Credit Agreement as of December 31, 2025, as described in Note 9 above, and management does not currently anticipate a covenant compliance concern over the twelve months following the date these financial statements were available to be issued, based on the Company's internal forecast prepared in the ordinary course.

Alternative Sources of Liquidity Considered

Management periodically evaluates alternative sources of liquidity, including the receivables factoring facility described in the Net Working Capital Analysis referenced elsewhere in this engagement's work product, as a supplemental, discretionary source of near-term liquidity distinct from the Company's committed Revolving Credit Facility.

NOTE 16. CRITICAL ACCOUNTING ESTIMATES

The preparation of these financial statements requires management to make a number of estimates and judgments that affect the reported amounts of assets, liabilities, revenues and expenses. The estimates discussed below are those management believes are most critical to a reader's understanding of the Company's financial condition and results of operations, because they require management's most difficult, subjective, or complex judgments.

Allowance for Credit Losses on Trade Accounts Receivable

Management's estimate of the allowance for credit losses on trade accounts receivable, described in Note 1 above, requires judgment about the Company's expected future collection experience, informed by historical loss rates adjusted for current conditions. A change in the Company's collection experience could require a materially different allowance in a future period.

Recoverability of Goodwill

The qualitative goodwill impairment assessment described in Note 5 above requires management to make judgments about the Company's future financial performance and the industry and market conditions the Company's single reporting unit will face; a significant, sustained decline in either could require a quantitative impairment test that a purely qualitative assessment did not require in the current period.

Useful Lives of Long-Lived Assets

The useful lives assigned to property, plant and equipment and to finite-lived intangible assets, described in Note 4 and Note 5 above, reflect management's judgment about the period over which those assets will generate economic benefit for the Company; a change in that judgment would change the related depreciation or amortization expense

prospectively.

Reserve for Excess and Obsolete Inventory

The reserve for excess and obsolete inventory, described in Note 3 above, is sensitive to changes in the sales-velocity data underlying the rolling twelve-month computation; the refresh-cadence artifacts discussed in the Net Working Capital Analysis referenced elsewhere in this engagement's work product illustrate the kind of estimation variability inherent in this reserve.

Product Warranty Reserve

The product warranty reserve described in Note 9 above is based on historical claims experience, which management believes is the best available indicator of future claims activity; a change in product quality or in customer claims behavior could require a materially different reserve in a future period.

Fair Value of the Investment Portfolio

The Level 2 fair value measurement described in Note 13 above, and the related credit-related and non-credit decline estimates described in Note 1 above, require management's judgment in evaluating observable market inputs for instruments that do not themselves trade in an active market with the same frequency as the comparable instruments those inputs are drawn from.

NOTE 17. RISK MANAGEMENT AND MARKET RISK

Interest Rate Risk

The Company is exposed to interest rate risk on the variable-rate borrowings under its Revolving Credit Facility, described in Note 6 above; the Company's Senior Notes and Industrial Revenue Bonds both bear fixed rates of interest and are not subject to interest rate risk on their scheduled debt service, though their own fair values move inversely with market interest rates.

Commodity and Raw Material Price Risk

The Company is exposed to price risk on the raw materials it purchases from the principal supplier described in the additional disclosures above; the Company does not use derivative instruments to hedge commodity price risk and instead manages this exposure through the supply agreement's own pricing and volume-rebate mechanics.

Customer Credit Risk

The Company's customer credit risk is concentrated in the customer accounts discussed in Note 12 above and in the receivables aging detail presented in the Net Working Capital Analysis referenced elsewhere in this engagement's work product; the allowance for credit losses described in Note 1 above reflects management's assessment of that risk.

Liquidity Risk

The Company manages liquidity risk through the sources of liquidity described in Note 15 above and through ongoing monitoring of its cash position against its seasonal working capital needs.

Information Systems and Cybersecurity Risk

The Company maintains information-security policies and procedures applicable to its ERP platform and other information systems described in the additional disclosures above, and did not experience a material cybersecurity incident during the year ended December 31, 2025.

NOTE 18. HUMAN CAPITAL AND ENVIRONMENTAL, HEALTH AND SAFETY

Human Capital

The Company's workforce, described in the additional disclosures above, is managed through a combination of Company-employed personnel and, during peak seasonal periods, temporary staffing arrangements with the temporary labor staffing vendor described in the Net Working Capital Analysis referenced elsewhere in this engagement's work product.

Environmental, Health and Safety

The Company maintains a safety program applicable to its manufacturing operations and monitors its safety performance against internal targets; the environmental remediation matter described in Note 9 above is managed under the Company's own environmental compliance function.

Training and Talent Development

The Company provides periodic safety and skills training to its production workforce, consistent with the certifications described in the additional disclosures above.

SUBSEQUENT EVENTS

The Company evaluated subsequent events through the date these financial statements were made available to be issued, consistent with the evaluation-period requirement applicable to an entity that is not itself an SEC filer. That evaluation considered the Company's own subsequent board and management minutes, correspondence with its lenders and bondholders, and the general status of the sale process described elsewhere in the deal file, none of which is itself part of these financial statements.

The Company evaluated subsequent events through the date these financial statements were available to be issued. Subsequent to the fixed valuation date of 2026-06-30, a rating agency notch action and an associated run-rate synergy revision were announced (dated after 2026-06-30). These items are disclosed here informationally only and are EXCLUDED from every LTM/valuation-date figure reported elsewhere in this filing and in the QofE - the valuation date is a hard cutoff. The informational, dated-after-cutoff amount referenced by internal deal-team correspondence is 4,944,444.44; it is not part of Consolidated EBITDA for any period ending on or before the valuation date.

No other event or transaction occurring after December 31, 2025 and through the date these financial statements were available to be issued requires adjustment to, or disclosure in, these financial statements beyond the item described in the preceding paragraph.

NOTE 19. SUPPLEMENTAL QUALITATIVE DISCLOSURES

The subsections below present additional qualitative disclosures customary for a private company's audited financial statements of this scope, organized by topic rather than by the numbered note structure above, consistent with this firm's standard presentation for a statement set of this scope.

NOTE 19.1. Corporate History and Organizational Structure

The Company was incorporated under the laws of the State of Delaware and was established by a group of founding shareholders who identified an opportunity to consolidate a fragmented market for precision-engineered industrial components. The Company’s initial operations were launched through the acquisition of a small number of regional manufacturing businesses, and the Company subsequently expanded its platform through a series of complementary acquisitions and internal organic investments. The Company’s operating history has been characterized by a consistent strategy of broadening its product offerings and geographic footprint while maintaining a decentralized operating model under which each principal business unit is managed locally. As of the most recently completed fiscal year, the Company’s products are sold to customers in the commercial construction, transportation, and general industrial end markets, and its principal manufacturing and distribution facilities are located across North America and in the United Kingdom.

The Company is a private corporation governed by the general corporation law of the State of Delaware. It has a single class of common stock, and all of such stock is held by funds affiliated with its private equity sponsor, certain co-investors, and current and former members of management. The Company’s equity securities are not listed on any public exchange and are not registered under federal securities laws, and the Company does not file periodic reports with the United States Securities and Exchange Commission. The Company’s board of directors, which is guided by the Company’s stockholders agreement and certificate of incorporation, oversees the strategic direction of the Company, approves the annual operating and capital plans, and is responsible for the appointment of the Company’s executive officers. A majority of the board is composed of representatives of the sponsor, and the remaining directors include the Company’s chief executive officer and independent directors selected in accordance with the stockholders agreement.

The Company operates as a holding company and conducts substantially all of its business through its direct and indirect wholly owned subsidiaries. The principal direct subsidiaries of the Company are a domestic holding company organized under the laws of the State of Delaware and a United Kingdom holding company organized under the laws of England and Wales. The domestic holding company owns all of the equity interests in the Company’s United States operating subsidiaries, which are organized under the laws of the State of Delaware, the State of Texas, the State of Ohio, and the State of Georgia. The United Kingdom holding company owns all of the equity interests in the Company’s European operating subsidiaries. Each operating subsidiary owns and operates its respective facilities, employs its own personnel, and holds its own customer, supplier, and licensing arrangements. No subsidiary has any outstanding equity interests held by persons other than the Company, and no subsidiary is subject to any minority interest, profit sharing arrangement, or other similar participation right held by a third party.

The Company’s legal entity structure has been refined from time to time to reflect changes in its operating model and to eliminate unnecessary complexity. In the most recently completed fiscal year, the Company completed a reorganisation that included the merger of several inactive intermediate holding companies into their direct parent entities, the transfer of its Canadian distribution operations into a wholly owned subsidiary organized under the laws of the Province of Ontario, and the redomiciliation of several indirect subsidiaries from the State of New York to the State of Delaware. These transactions were carried out among entities under common control and were recorded on a carryover basis in the consolidated financial statements. The reorganizational activity did not alter the Company’s ultimate ownership, did not affect the consolidated results of operations, and did not change the rights of the Company’s stockholders. The reorganisation also did not give rise to any new material obligations of the Company. In connection with prior acquisitions accounted for under the acquisition method, the Company has agreed to pay certain sellers additional consideration based on the achievement of defined operating targets. The Company’s obligation to pay such additional consideration is subject to a stated maximum in each applicable acquisition agreement and is evaluated by management on a periodic basis; no payments were made under such arrangements during the most recently completed fiscal year.

The Company provides centralized services to its subsidiaries through an intercompany services agreement under which the parent company is reimbursed for the costs of executive oversight, treasury and tax administration, internal audit, information security, and legal support. The intercompany services agreement is reviewed annually by the board of directors, and the allocation methodology is designed to approximate the costs actually incurred on behalf of each subsidiary. The parent company holds no significant operating assets other than the equity interests in its subsidiaries and the Company’s principal executive office building. All intercompany balances and transactions have been eliminated in preparing the consolidated financial statements included elsewhere in this document.

NOTE 19.2. Principal Products and Services

The Company is a manufacturer and distributor of engineered industrial products and value-added services for customers in the food and beverage, chemical processing, energy, water and wastewater treatment, mining, and

transportation sectors. The Company designs, manufactures, and sells a broad catalog of standard and custom-engineered products, complemented by a range of aftermarket services and application engineering support.

The Company's principal manufactured products consist of precision-machined components, fabricated metal assemblies, elastomeric sealing systems, wear-resistant flow-control equipment, specialty fasteners, and skid-mounted process packages. These products are produced at the Company's fabrication and machining facilities using automated machining centers, robotic welding systems, precision grinding, plasma and laser cutting, and controlled-atmosphere heat-treating equipment. The Company also purchases finished goods from a network of qualified third-party suppliers and resells those goods through its distribution channel, allowing customers to source multiple product categories from a single qualified vendor.

The Company's value-added services include custom product design and engineering, prototyping and field testing, material selection and metallurgical analysis, equipment installation and commissioning, and aftermarket repair, overhaul, and refurbishment. The Company employs a team of applications engineers who work alongside customer engineering and maintenance personnel to adapt existing products to site-specific requirements and to develop new products for emerging customer applications. The aftermarket service organization operates from regional service centers and performs emergency repairs and scheduled maintenance on flow-control and rotating equipment, with the objective of minimizing customer downtime and extending equipment service life.

The Company sells its products primarily through a direct sales force organized by geographic territory and by market vertical, supplemented by independent manufacturers' representatives and authorized stocking distributors. The direct sales force is supported by an inside-sales group that manages quotation requests, order entry, and customer service inquiries. The Company also maintains an online customer portal that provides access to product specifications, installation manuals, inventory availability, and order tracking for standard catalog items.

The Company's principal raw materials include carbon steel, stainless steel, aluminum, specialty alloys, elastomers, coatings, and fasteners. The Company sources these materials from a diverse group of domestic and international suppliers and maintains approved vendor lists for each critical raw material category. The Company holds safety stock inventory of long-lead-time materials and key components to support its delivery commitments and to reduce the risk of supply interruption. The Company's production facilities operate under documented quality-management systems that are periodically audited by independent third-party registrar organizations, and the Company maintains quality certifications that are commonly required by customers in the industries it serves.

The Company provides warranty coverage for its manufactured products against defects in materials and workmanship, with a standard warranty period of one year from the date of shipment and custom warranty terms negotiated for certain project-specific orders. The Company also publishes product performance specifications and application guidelines, and its engineering group provides technical consultation to customers on product selection, installation practices, and system design.

Sales of the Company's standard catalog products are generally made pursuant to customer purchase orders, while larger custom-engineered projects are executed under project-specific supply agreements that define scope, delivery schedule, performance criteria, and acceptance testing. These project agreements typically include warranty terms, progress billing provisions, and liability limitations subject to a stated maximum. The Company maintains a backlog of open customer orders for products that have been scheduled for production and for service work that has been booked but not yet performed. The backlog is not a reliable indicator of future revenue because customers may modify delivery dates, adjust quantities, or cancel orders without penalty up to a specified point in the production process.

The Company's business is subject to modest seasonal variation. Sales tend to be higher during the second half of the fiscal year as customers complete annual maintenance projects and consume remaining capital budgets before their own fiscal year ends. Demand for the Company's aftermarket repair and overhaul services can reflect general economic conditions, since customers tend to defer discretionary maintenance during economic downturns and may instead focus on repair of existing equipment during periods of reduced capital spending.

Competition in the Company's markets is based primarily on product performance and reliability, delivery lead times, engineering and application support, and total cost of ownership. The Company does not depend on any single customer for a significant portion of its consolidated revenue, and its customer base is widely diversified across geographies and industries. The Company believes its principal competitive strengths are its engineering depth, its vertically integrated manufacturing capability, its breadth of product offering, and the strength of its distribution network.

NOTE 19.3. Sales and Marketing Organization

The Company organizes its commercial activities around end-customer industry verticals and product lines, with a centralized sales operations group supporting a direct enterprise sales motion, an inside sales motion, and a channel partner sales motion. The direct enterprise sales team is aligned geographically and by account size, with named account executives responsible for the largest relationships and territory-based representatives covering middle-market customers. Inside sales personnel handle inbound inquiries, manage early-stage opportunities, and support remote transactions for smaller accounts. The channel organization recruits, enables, and manages independent distributors, resellers, and strategic partners, with dedicated channel managers acting as the primary liaison and co-selling alongside partners on larger opportunities.

Marketing is structured into brand, demand generation, product marketing, and field marketing functions. The brand

function owns corporate identity, messaging, public relations, and internal communications. Demand generation develops and executes multi-channel campaigns, including digital advertising, content syndication, search engine marketing, email nurture programs, and webinars, with leads scored and routed to sales through a customer relationship management platform. Product marketing creates value propositions, competitive positioning, sales enablement materials, and launch plans for the Company’s products and services. Field marketing supports regional sales teams by tailoring national campaigns to local markets and coordinating industry trade shows, conferences, and customer events.

The sales operations function provides forecasting, territory planning, compensation administration, and pipeline analytics. Sales compensation plans are designed to align individual and team incentives with the Company’s revenue and margin objectives, and include base salary plus variable incentive components; commission rates and bonus payouts are reviewed periodically and, for certain plans, are subject to a stated maximum. Pipeline reviews are conducted on a regular cadence with sales leadership, and the operations team maintains the underlying reporting used to manage backlog, win rates, and productivity. Because the Company serves a range of customer segments, the organization deploys specialized teams for national accounts, public sector, and original equipment manufacturer relationships, each with its own sales leadership and support resources.

The Company also operates a customer success and account management function that works alongside sales to drive renewals, expansions, and references. This function is responsible for onboarding, training, adoption monitoring, and issue escalation, and it coordinates with the direct sales and channel teams during renewal cycles. The marketing organization supports this lifecycle by developing customer advocacy programs, case studies, and user groups. The Company’s sales and marketing activities are subject to regular review by senior management, with particular attention to lead conversion, cost per acquisition, and customer lifetime value. Overall, the structure is intended to provide clear ownership of customer relationships, maintain consistent market coverage, and enable the Company to scale without duplicating commercial effort across channels.

NOTE 19.4. Research and Development Activities

The Company's research and development activities are directed toward the design, development, and enhancement of the products and technologies that form the foundation of its commercial offerings. These activities are central to the Company's long-term growth strategy and are intended to generate new revenue opportunities, improve the performance and reliability of existing products, reduce manufacturing costs, and respond to evolving customer requirements and regulatory standards.

The Company conducts its research and development primarily through an in-house technical organization comprising engineers, scientists, product designers, materials specialists, software developers, and technical support staff. The research and development function operates out of dedicated laboratory and prototyping facilities located at the Company's principal operating sites, with additional work performed in pilot production lines and at customer locations where field testing of new and modified products is conducted. The Company's development portfolio spans both incremental improvements to currently marketed products and longer-term efforts directed at next-generation platforms and new applications. In addition, the Company's application engineering staff works directly with customers to adapt existing products to specific customer requirements and to diagnose and resolve field performance issues, and the insights gained from these engagements are fed back into the core research and development pipeline.

The Company follows a structured development process that progresses from concept generation and feasibility assessment through detailed design and engineering, prototype construction, accelerated life testing, field validation, and manufacturing scale-up. Each stage includes defined technical and commercial criteria that must be satisfied before a project advances to the next stage, permitting the Company to allocate its technical resources among projects based on expected benefits, technical risk, and resource availability. The development process also incorporates design for manufacturability, reliability, and serviceability, as well as collaboration with key customers and suppliers to confirm that proposed designs meet real-world performance expectations.

Research and development projects are selected and prioritized through a recurring planning cycle in which the Company evaluates its current product portfolio, customer feedback, competitive offerings, and emerging industry standards. The Company may also undertake exploratory research in areas where a proven commercial application has not yet been established, with the objective of developing proprietary knowledge and intellectual property that can be applied in future products or process improvements. In connection with such efforts, the Company periodically participates in collaborative research arrangements with academic institutions, national laboratories, and industry consortia. These arrangements may require the Company to contribute technical personnel, data, or funding over the term of the collaboration, with the Company's funding commitment for any individual arrangement subject to a stated maximum.

The Company takes measures to protect the results of its research and development, including seeking patent protection for novel inventions where appropriate and maintaining proprietary processes as trade secrets. The Company also conducts ongoing evaluations of competitive and complementary technologies to avoid infringement of third-party intellectual property rights and to identify opportunities for technology acquisition or co-development that may accelerate its internal development timeline. In addition, the Company participates in industry standard-setting activities and obtains independent product certifications where required for market acceptance, and the technical data generated through these activities informs the Company's continuous improvement efforts.

Because the Company's research and development efforts are inherently forward-looking, the technical and commercial outcomes of individual projects are uncertain. The Company manages this uncertainty by maintaining a portfolio of projects with varying stages of maturity and by periodically reassessing the continuing viability of each project against evolving technical results and market conditions. Projects that no longer meet the Company's commercial or strategic criteria may be postponed, redesigned, or discontinued, with the associated personnel and resources redirected to higher-priority activities.

The Company expects its research and development spending to continue at levels consistent with its strategic priorities in the most recently completed fiscal year and the current diligence period, reflecting the importance of new product introduction and continuous improvement to its competitive position. The Company believes that its research and development capabilities, including the depth of its technical staff, the breadth of its laboratory and testing infrastructure, and the proprietary knowledge embedded in its products and processes, constitute a significant competitive advantage.

NOTE 19.5. Intellectual Property and Trademarks

The Company protects its intellectual property through a combination of legal, contractual, and operational measures. Its intellectual property consists principally of trademarks, service marks, trade names, trade dress, copyrights, trade secrets, know-how, and, where appropriate, patents and patent applications. The Company's intellectual property is important to its business because it distinguishes the Company's products and services in the marketplace and embodies proprietary technology and business methods developed by the Company over time. The Company considers the protection of its intellectual property to be an integral part of its strategy and allocates resources to the identification, registration, maintenance, and enforcement of its rights.

The Company maintains a trademark protection program designed to secure and preserve its brand rights. Trademarks and service marks used in connection with the Company's products and services are registered, where appropriate, with the United States Patent and Trademark Office and with trademark registries in other countries. The Company also registers domain names and social media identifiers relating to its principal brands and products. Before adopting a new mark, the Company performs clearance searches to assess availability and potential conflicts. Registered marks are renewed as required by applicable law, and the Company monitors its trademark portfolio to maintain and enforce its rights. The Company also watches the marketplace for unauthorized or confusingly similar uses of its marks. When potentially infringing use is identified, the Company evaluates the matter and takes action as appropriate, including sending cease-and-desist letters, filing opposition or cancellation proceedings, or pursuing litigation.

The Company's proprietary technology and business processes are protected primarily as trade secrets. The Company requires employees, consultants, contractors, and other parties with access to confidential information to execute confidentiality and non-disclosure agreements. Employees involved in developing the Company's products, processes, or other proprietary assets are generally required to assign to the Company all intellectual property arising from their work. Access to sensitive technical, commercial, and strategic information is restricted to personnel with a need to know, and the Company maintains physical, administrative, and technical safeguards such as secure facilities, access controls, password protection, encryption, and data-loss prevention measures. The Company also maintains internal policies governing the handling, storage, retention, and destruction of confidential materials, and it reinforces continuing confidentiality obligations in employee exit processes and in agreements with business partners.

The Company evaluates its research and development activities to identify patentable inventions and, where doing so supports the Company's competitive position, seeks patent protection in the United States and in selected foreign jurisdictions. The Company's patents and pending patent applications relate to certain product features and manufacturing methods. The Company enforces its patents when necessary to prevent unauthorized use of its technology. The Company also relies on copyright protection for its original creative works, including software, marketing materials, product documentation, and other authored content, and it uses licensing arrangements when appropriate. Licensing arrangements are documented in written agreements that define the scope of the licensed intellectual property, permitted uses, and other terms. The Company also works with legal counsel, customs authorities, and online marketplace platforms to address counterfeits, knockoffs, and other unauthorized use of its products and brand. The costs of registering, maintaining, and enforcing intellectual property are expensed as incurred and are not significant to the Company's financial statements as a whole.

NOTE 19.6. Environmental Compliance Program

The Company has established a formal environmental compliance program that is integrated into its overall risk management and operational governance structure. The program is administered by a dedicated environmental compliance group, which works with operations leadership, plant managers, engineering personnel, legal counsel, and internal audit. Oversight is provided by senior management and the board through periodic reviews of compliance performance, significant environmental risks, and the status of corrective actions. The program is designed to be preventive, not merely reactive, and applies across all wholly owned operating locations and to activities where the Company has operational control.

The Company's general approach to environmental regulation is to maintain valid permits and approvals, comply with their conditions, and engage constructively with regulatory agencies. Before commencing new activities or modifying existing operations, the Company evaluates applicable environmental requirements and obtains the necessary

authorizations. This evaluation includes air emissions, wastewater discharges, storm water management, solid and hazardous waste handling, underground storage tanks, chemical management, and spill prevention and response. The Company follows a structured process for identifying legal requirements, translating them into operational controls, and verifying that those controls are being applied. Where regulatory requirements leave room for discretion, the Company typically applies conservative operational standards.

The compliance program includes a comprehensive environmental management system built on written policies, standard operating procedures, and job-specific training. Employees whose duties affect environmental compliance receive training on regulatory expectations, permit conditions, and internal controls. Training is repeated on a periodic basis and is updated when laws, permits, or operating practices change. The program also maintains training records and uses them during internal evaluations to confirm that all relevant personnel have completed required instruction.

Permit and regulatory status is tracked through a compliance calendar and checklist system. This system identifies upcoming permit renewals, monitoring deadlines, reporting dates, and certification obligations. Environmental compliance staff review operational data, prepare regulatory reports, and submit them in the form and timeframe required by the applicable agency. The Company retains the records necessary to demonstrate compliance for the periods required by regulation. If a permit condition cannot be met, the Company has procedures for notifying the appropriate agency, investigating the cause, and implementing corrective measures.

Internal audits are a central part of the program. Audits are conducted according to a risk-based schedule, and they evaluate both compliance with legal requirements and conformance to the Company's internal standards. Audit findings are documented and assigned to responsible parties. Corrective actions are prioritized based on risk, and completion is tracked by the environmental compliance group. For issues that involve a potential recurring cause, the Company performs additional analysis to adjust procedures, training, or equipment as appropriate. The Company also periodically engages external specialists to conduct independent compliance assessments in connection with significant projects or due diligence activities.

The Company maintains incident prevention and response procedures for releases and other environmental events. These procedures address immediate protective measures, internal escalation, coordination with local emergency responders, agency notification, cleanup, and investigation. Following an incident, the Company undertakes a structured review to identify direct and underlying causes and to implement changes intended to prevent recurrence. The program includes spill response supplies and containment equipment at appropriate locations, and personnel with response responsibilities are expected to demonstrate readiness through applicable training.

Environmental risk assessment and remediation activities are managed through a separate process within the program. When acquiring or developing sites, the Company performs appropriate environmental due diligence. Where contamination is known or suspected, the Company evaluates the regulatory framework, engages with the relevant agency, and develops a response strategy. The Company's objective is to address such matters in a manner that is protective of human health and the environment and that achieves closure consistent with current regulatory standards. The financial and accounting considerations for such matters are addressed in the environmental matters disclosure included elsewhere in this statement set, and the compliance program focuses on the operational and procedural execution of the Company's environmental obligations.

The Company participates in the regulatory process by monitoring proposed changes to environmental law, assessing their potential impact on operations, and providing technical comments where appropriate. When new requirements become effective, the program updates compliance obligations, revises procedures, and delivers additional training as necessary. The Company also interacts with regulators through the normal permitting, inspection, and reporting process. For the most recently completed fiscal year, no material environmental penalties were assessed, and management is not aware of any current enforcement matter that would have a material adverse effect on the Company's operations or financial condition. The compliance program is reviewed periodically to reflect changes in the Company's activities, regulatory developments, and the results of internal and external assessments.

NOTE 19.7. Data Privacy and Cybersecurity Governance

The Company maintains a risk-based data privacy and cybersecurity governance program designed to protect the confidentiality, integrity, and availability of information assets, safeguard personal information, and support compliance with applicable legal and regulatory requirements. The program encompasses governance structures, policies, procedures, technical controls, and monitoring activities that are tailored to the scale and complexity of the Company’s operations and to the risks inherent in its business.

The Board of Directors, acting directly and through a delegated committee, provides oversight of data privacy and cybersecurity risk. Management regularly reviews with the Board the status of the Company’s privacy and security programs, material risks and threats, and the outcome of significant program enhancements or independent assessments. The Board also exercises oversight of management’s process for identifying, assessing, and responding to emerging data protection and cybersecurity matters.

Day-to-day responsibility for the data privacy and cybersecurity governance program is assigned to senior management functions dedicated to information security and privacy, supported by personnel in legal, compliance, information technology, human resources, internal audit, and operations. The program operates under a defined governance framework that sets out roles, responsibilities, and escalation paths. Management is accountable for implementing the program, allocating appropriate resources, and ensuring that identified risks are addressed in a timely manner.

The Company maintains a set of written policies, standards, and procedures that support the data privacy and cybersecurity program. These documents address data classification and handling, access control, network security, data retention, acceptable use of systems and information, records management, and incident response. The policies are periodically reviewed and updated to reflect changes in the Company's business, the information security environment, and legal and regulatory expectations. Managers and personnel are expected to understand and comply with the policies applicable to their jobs.

The Company conducts information security and privacy risk assessments to identify and evaluate potential threats and vulnerabilities that could affect the confidentiality, integrity, or availability of Company systems or the privacy of personal information. These assessments account for the sensitivity and volume of information involved, the nature of Company operations, and the potential impact of a security event. The results of the assessments are used to prioritize control enhancements, resource allocation, and remediation actions. In addition, privacy assessments are conducted for new or materially changed initiatives that involve personal information.

The Company has implemented a third-party risk management process to evaluate and monitor vendors, contractors, and other external parties that process data on its behalf or have access to Company networks and information. The process includes security and privacy due diligence before a relationship is established, contractual obligations covering confidentiality and data protection, and ongoing oversight based on the risk profile of the engagement. The Company expects third parties to maintain safeguards consistent with applicable law and with the Company's standards and retains appropriate monitoring and audit rights.

The Company maintains an incident response program to prepare for, detect, contain, and recover from data privacy and cybersecurity incidents. The program is documented in a formal incident response plan that assigns roles and responsibilities, establishes notification and escalation pathways, and sets out procedures for preserving evidence, analyzing the scope of an incident, and communicating with affected parties and regulators as required. The plan is periodically exercised using simulated scenarios designed to assess readiness and identify improvements. Significant incidents are escalated to senior management and, when appropriate, to the Board of Directors.

The Company provides data privacy and cybersecurity training to all personnel, including employees, management, and others with access to Company information systems. The training is designed to develop awareness of threats such as phishing, social engineering, and malicious software, as well as the responsibilities that personnel have to protect personal and proprietary information. Role-based training is provided to personnel whose duties involve greater exposure to systems or sensitive data. The Company also conducts awareness activities and simulations to reinforce sound security behaviors.

The Company's privacy governance is founded on the principles of transparency, notice, purpose limitation, data minimization, accuracy, retention limitation, and security. The Company collects personal information only for legitimate business purposes and evaluates its processing practices to limit the use of personal information to the purposes for which it was collected. Privacy notices are provided to individuals in appropriate circumstances, and the Company has processes for receiving and responding to individual privacy requests in accordance with applicable legal requirements.

The Company applies data lifecycle management controls to personal and confidential information. Information assets are inventoried and classified according to sensitivity, and access is granted on a need-to-know basis with separation of duties where appropriate. The Company uses retention schedules to keep records no longer than reasonably necessary for business, legal, and contractual purposes, and the secure disposal of data is performed in accordance with Company procedures. These controls help reduce the likelihood of unauthorized access and limit the potential effect of a data security event.

The Company maintains a layered set of technical security controls designed to protect data and systems. These controls include network segmentation, endpoint protection, access management, data encryption, monitoring and logging, vulnerability management, patch management, and secure configuration management. Remote access requires additional authentication measures beyond standard credentials. The Company also incorporates security into the software development process and uses change management controls to limit the risk of unauthorized modifications.

Independent evaluations of the Company's data privacy and cybersecurity program are performed on a periodic basis. These evaluations may include external penetration testing, security architecture reviews, control assessments, and compliance reviews. Management reviews the findings from these evaluations and tracks follow-through on corrective actions. Internal audit also performs a role in assessing the design and operating effectiveness of selected controls and reporting results to the Board's audit committee.

The Company monitors federal and state privacy and data security laws and regulations, as well as industry standards and contractual requirements, and incorporates these obligations into its governance program. The program is intended to be adaptive and responsive to changes in the legal and threat environment, emerging technologies, and the Company's evolving operations. The Company also maintains cyber liability insurance as part of its overall risk management and risk transfer strategy.

NOTE 19.8. Vendor and Supply Chain Risk Management

The Company manages vendor and supply chain risk through a structured, cross-functional program that operates separately from, and complements, the Concentration of Suppliers disclosure presented elsewhere in this statement set. The program is designed to identify and evaluate risks arising from the Company's reliance on third-party goods

and services, including operational, financial, quality, compliance, security, and reputational risks, and to implement measures that reduce the likelihood and impact of supply disruption. Senior management oversees the program, supported by the Company's procurement, operations, finance, legal, information technology, and environmental, health and safety functions. Responsibility for the design and execution of the program is assigned to a designated supply chain risk owner, who coordinates with internal stakeholders and regularly reports to the Company's risk oversight committee.

Vendor onboarding includes a risk-based due diligence process. The depth of due diligence varies with the criticality of the proposed goods or services and the nature of the vendor relationship. For critical vendors, the Company reviews ownership and organizational structure, financial statements and credit information, business continuity plans, insurance certificates, cybersecurity posture, regulatory licenses and permits, quality certifications, and compliance with the Company's supplier code of conduct. New vendors are required to agree to the Company's standard terms and conditions, including provisions covering confidentiality, data protection, product quality, warranty, indemnification, and, in appropriate circumstances, business continuity assurances. Higher-risk vendors may be subject to enhanced review and, where applicable, approval by a designated committee.

The Company categorizes vendors according to spend level, criticality to operations, substitution difficulty, single-source status, geographic location, and the resilience of the vendor's own suppliers. This categorization informs the frequency and depth of ongoing monitoring, as well as the nature of mitigation strategies. The Company maintains a supply chain risk register that records identified risks, assesses their potential impact and likelihood, and assigns ownership for mitigation actions. The register is reviewed and updated at least quarterly, or more frequently when conditions warrant. Risk assessments incorporate operational, financial, geopolitical, weather, natural catastrophe, transportation, labor, cyber, and regulatory factors affecting the vendor or the vendor's upstream supply chain. The Company also considers the potential concentration of suppliers in a particular region or facility as part of its broader risk evaluation, although the quantitative concentration metrics are reflected in the Concentration of Suppliers disclosure.

Ongoing monitoring includes periodic reviews of vendor financial health, operational performance, delivery reliability, product or service quality, capacity utilization, and compliance with contractual obligations. The Company uses performance scorecards to track key risk indicators, including on-time delivery rates, defect rates, responsiveness to corrective action requests, and safety records. For critical vendors, the Company may conduct periodic site visits or audits, which can include assessments of the vendor's quality management system, production capacity, labor practices, and business continuity readiness. When monitoring identifies deterioration or a potential disruption, the Company escalates the matter in accordance with defined thresholds and works with the vendor to develop a corrective action plan. The Company may also adjust order quantities, expedite shipments, qualify alternative suppliers, or take other protective measures.

The Company employs a range of mitigation strategies to reduce the impact of vendor and supply chain disruptions. For critical materials and services, the Company identifies and qualifies alternative suppliers wherever reasonably practicable, and it seeks to maintain documented contingency plans. The Company may hold buffer inventory for items with long lead times, limited supplier availability, or significant production risk, with target levels established through a risk-based review process. Contractual arrangements with critical vendors may include performance standards, notification obligations, continuity commitments, and, in some cases, liability provisions subject to a stated maximum. The Company also participates in industry information-sharing forums and uses third-party data sources to monitor supplier financial stability and relevant events. In the event of a disruption, the Company's supply chain crisis management plan outlines roles, communication protocols, and response actions designed to protect employee safety, preserve customer commitments, and restore operations as quickly as practicable.

The Company integrates vendor and supply chain risk management with its broader business continuity and enterprise risk management processes. Supply chain risk is considered in the annual enterprise risk assessment, and significant risks are evaluated for potential financial, operational, and reputational impact. The Company periodically tests its contingency arrangements through tabletop exercises or other simulation activities, and lessons learned are used to update the risk register, mitigation plans, and vendor qualification criteria. The Company also monitors emerging risks, including climate-related physical and transition risks affecting logistics networks and supplier facilities, cybersecurity threats to the vendor ecosystem, and regulatory changes affecting imported goods. During the most recently completed fiscal year, the Company continued to enhance its vendor risk management tools and processes, including expanded use of data analytics to support proactive monitoring. Through the period covered by these financial statements, the Company believes that its vendor and supply chain risk management program is consistent with the scale and complexity of its operations and that the program provides reasonable safeguards to identify, assess, mitigate, and monitor material supply chain risks.

NOTE 19.9. Enterprise Risk Management Framework

The Company maintains a formal enterprise risk management framework designed to identify, assess, measure, monitor, and respond to the risks that could affect its ability to achieve strategic objectives. The framework is comprehensive in scope, covering all consolidated subsidiaries and operating functions, and is embedded in the Company’s strategic planning, capital management, and operational decision-making processes. The framework is aligned with the risk appetite established by the Board of Directors and is subject to periodic review and enhancement.

The Board of Directors has ultimate oversight responsibility for the Company's risk governance. The Board approves the Company's risk appetite and tolerance statements, oversees the design and operation of the risk management framework, and receives regular reporting on the Company's principal risk exposures and the effectiveness of mitigation activities. The Audit Committee of the Board assists the Board in its oversight of internal controls, financial reporting risks, and compliance with legal and regulatory requirements. The full Board reviews emerging and strategic risks at least annually and considers risk-related information when making decisions on significant matters.

Senior management is responsible for implementing the risk management framework and for managing the Company's risk exposure within the tolerance levels approved by the Board. An executive risk committee, composed of senior leaders from key functions, meets on a regular basis to review the Company's risk profile, assess emerging risks, approve risk-related policies, and monitor the progress of mitigation actions. The committee receives periodic updates from the Company's risk management function and, when necessary, escalates matters to the Board or the Audit Committee.

The Company employs a dedicated risk management function led by a senior risk executive. This function is responsible for maintaining the enterprise risk management policy, conducting the Company's annual enterprise risk assessment, facilitating the identification of risk owners, and aggregating risk-related information for management reporting. Each operating department designates responsible individuals who serve as risk owners for the risks inherent in their respective areas. These risk owners are accountable for developing and executing action plans to address identified risks and for notifying the risk management function when the significance of a risk changes.

The framework organizes risks into interconnected categories, including strategic, operational, financial, compliance and legal, and reputational risks. Strategic risks arise from changes in the external environment, competitive dynamics, customer preferences, and the execution of the Company's business model. Operational risks arise from failures or inadequacies in internal processes, people, systems, or external events, including business interruption, cybersecurity incidents, and data protection failures. Financial risks arise from liquidity constraints, changes in interest rates, and other exposures that could affect the Company's financial condition. Compliance and legal risks arise from violations of laws, regulations, contractual obligations, or internal policies. Reputational risks arise from adverse external perceptions of the Company's conduct or performance.

The Company performs a comprehensive enterprise risk assessment on an annual basis and updates the assessment as significant new risks emerge during the year. The assessment evaluates the likelihood and potential magnitude of identified risks, the strength of existing internal controls, and the status of mitigation activities. The results of the assessment are recorded in a risk register and are used to prioritize management attention and resource allocation. Key risk indicators are reviewed on a recurring basis to provide early warning of potential changes to the Company's risk profile.

The Board approves the Company's risk appetite and tolerance statements, which articulate the level of risk the Company is willing to accept in pursuit of its objectives. Management translates these statements into measurable limits, operating policies, and control procedures. Actual risk exposure is monitored against these limits on a regular basis. Any actual or impending breach of a limit is escalated through the Company's risk governance structure and is reported to the appropriate management and Board oversight bodies.

The internal audit function provides independent assurance over the design and operating effectiveness of the Company's internal controls and risk management processes. Internal audit develops a risk-based audit plan that is informed by the results of the enterprise risk assessment. Audit findings and management action plans are reported to the Audit Committee, and the status of remediation is tracked until completion.

The Company promotes a risk-aware culture across the organization. The code of conduct and employee training materials emphasize the responsibility of all employees to understand, manage, and escalate risks within their areas of responsibility. New employees receive orientation covering the Company's risk management expectations, and employees in roles with heightened risk exposures receive more specialized training. Senior management reinforces the importance of risk management through regular communications and by modeling desired behaviors.

The Company's enterprise risk management framework also includes business continuity and crisis management planning. The Company identifies critical functions and resources, develops recovery strategies for potential disruption scenarios, and tests these strategies on a periodic basis. The results of tests and any actual incidents are reviewed to identify process improvements and to enhance operational resilience.

Risk reporting to the Board and senior management is structured to provide a clear view of the Company's most significant risks and the actions being taken to manage them. Reports include updates on key risk indicators, the status of mitigation action plans, changes to the risk register, and any relevant internal audit findings. Reporting occurs on a quarterly basis, or more frequently when warranted by changes in the risk environment. Through these governance and reporting structures, the Company seeks to maintain a disciplined and proactive approach to managing risk across all aspects of its business.

NOTE 19.10. Internal Control Over Financial Reporting Narrative

The Company's management is responsible for establishing and maintaining internal control over financial reporting. The system of internal control is designed to provide reasonable assurance that transactions are recorded as necessary for preparation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, that receipts and disbursements are executed only in accordance with authorizations of management and the Board of Directors, and that unauthorized acquisition, use, or disposition of

assets that could have a material effect on the financial statements is prevented or detected in a timely manner. The system is supported by formal policies, documented procedures, the Company's organizational structure, and involvement of the Board of Directors in oversight of financial reporting.
Control environment. The Company's control environment emphasizes integrity, ethical values, and competence across the finance and accounting organization. The Board of Directors oversees financial reporting and related internal control matters and meets with management to review the Company's financial statements, significant accounting policies, and the results of internal control monitoring. Organizational responsibilities for financial reporting are clearly assigned to a principal financial officer and a principal accounting officer, with defined lines of authority and reporting. The Company maintains written position descriptions and delegation policies, and human resource practices address hiring, training, supervision, and periodic evaluation of personnel involved in financial reporting.
Risk assessment. Management performs an ongoing risk assessment to identify and analyze risks to accurate and complete financial reporting at both the entity level and the process level. This assessment includes consideration of fraud risk, changes in the Company's operations and systems, new or revised accounting guidance, and the use of external service providers. Significant accounts, classes of transactions, and major disclosure areas are identified and linked to the processes that generate them. The risk assessment is updated as business conditions and reporting requirements change, and the results are used to allocate resources to those areas presenting the highest risk of material misstatement.
Control activities. Control activities are designed into the principal financial processes, including transaction initiation, authorization, execution, recording, and reporting. Controls include segregation of duties, supervisory review, reconciliations, physical safeguards over assets, and independent verification of processing results. The Company uses a commercial enterprise resource planning system for its general ledger and associated subledgers. The system's security model assigns access based on job responsibilities, requires unique user credentials, and is configured to separate incompatible functions to the extent practicable. Compensating controls are applied where system limitations prevent full segregation. Access to financial applications and data is reviewed periodically by system owners and financial management. Change management procedures require authorization, testing, and approval before modifications to financial systems are placed into service.
Information and communication. Accounting policies and procedures are documented and communicated to personnel through the finance and accounting manual, periodic training, and communications from the principal accounting officer. A period-end closing instruction is issued before each reporting period and sets forth the accounts to be reviewed, reconciliations to be completed, supporting schedules to be prepared, and certification requirements applicable to finance personnel. Relevant information is communicated up, down, and across the organization as needed, and employees are expected to escalate actual or suspected violations of policies, accounting practices, or internal controls. The Board has established a confidential reporting mechanism for employee concerns, and matters reported are evaluated and resolved through an appropriate process.
Monitoring activities. Monitoring of internal control is carried out through ongoing supervision, management review of reconciliations and operating results, and periodic self-assessments of key controls performed by the financial reporting group. Results of these monitoring activities are reported to the principal financial officer and to the Board of Directors. The Company also engages an independent accounting firm to audit the consolidated financial statements, and the external auditor is selected by and reports to the Board of Directors. When control deficiencies are identified, management evaluates the severity of the deficiency and, when appropriate, implements corrective actions and updates the related policies, procedures, or system controls.
Inherent limitations. Internal control over financial reporting, no matter how well designed, has inherent limitations and can provide only reasonable, not absolute, assurance that the objectives of reliable financial reporting and safeguarding of assets are achieved. Such limitations include the realities that judgments can be faulty and that breakdowns can occur because of simple error, mistake, or collusion. Management override of controls can also occur. Accordingly, the Company's internal control structure is intended to reduce, but not eliminate, the risk of material misstatement to an acceptably low level.

NOTE 19.11. Disclosure Controls and Procedures

The Company’s management, under the supervision and with the participation of the Company’s principal executive officer and principal financial officer, is responsible for establishing and maintaining disclosure controls and procedures. These controls and procedures are designed to ensure that information required to be disclosed by the Company in the preparation of its consolidated financial statements and related external reporting is recorded, processed, summarized, and reported within the time periods and in the manner required by the applicable financial reporting framework. The design process includes identifying significant sources of information, evaluating the reliability and completeness of that information, and communicating relevant matters to senior management and, where appropriate, the audit committee, in a manner that allows timely decisions about required disclosures.
Management evaluated the effectiveness of the design and operation of the Company’s disclosure controls and procedures as of the end of the most recently completed fiscal year. In performing this evaluation, management considered whether the controls and procedures, taken as a whole, adequately address the completeness, accuracy, and timeliness of information required to be included in the Company’s financial statements and other disclosures.
Based on this evaluation, management concluded that, as of that date, the Company’s disclosure controls and procedures were effective at the reasonable assurance level. The controls are not designed to provide absolute

assurance that all information required to be disclosed is captured and disclosed. Because of inherent limitations, including human error, circumvention of controls, or the overriding of controls by management or other personnel, effective disclosure controls and procedures can provide only reasonable assurance, not certainty, regarding the reliability of external disclosures.

The Company’s disclosure controls and procedures include, but are not limited to, controls supporting the preparation of the consolidated financial statements, such as the monitoring of accounting policies, the analysis of significant and nonroutine transactions, the reconciliation of account balances, the review of accounting estimates and judgments, and the review of financial statement disclosures by senior management and the audit committee. The Company uses a combination of preventive, detective, and monitoring controls, including documented procedures, segregation of duties commensurate with the Company’s size and complexity, and direct management oversight of areas that present significant judgment. The Company does not maintain a separate internal audit function; instead, the audit committee and senior management provide oversight through periodic reviews, through the independent auditor’s work performed in connection with the annual audit, and through management’s ongoing monitoring of financial reporting activities.

No material weaknesses in the design or operation of the Company’s disclosure controls and procedures were identified by management during its evaluation. In addition, during the most recently completed fiscal year, no change was made to the Company’s disclosure controls and procedures that has materially affected, or is reasonably likely to materially affect, the effectiveness of those controls and procedures. Management continues to assess the design of the controls on an ongoing basis and will modify them as circumstances, business activities, or applicable reporting requirements change.

NOTE 19.12. Code of Conduct and Ethics Program

The Company maintains a written Code of Conduct and Ethics that applies to all directors, officers, employees, and, where applicable, consultants, contractors, and temporary workers. The Code establishes standards for honest and ethical conduct, including avoiding conflicts of interest, preserving the confidentiality of Company information, safeguarding Company assets, complying with applicable laws, and reporting suspected violations. The Company expects every person covered by the Code to exercise good judgment, seek guidance when uncertain, and act in a manner consistent with the Company's values and legal obligations.

The administration of the Code and ethics program is overseen by the audit committee of the board of directors. Day-to-day responsibility for implementing the program rests with the Company's chief compliance officer and human resources function. The program includes regular communication of the Code, periodic training for employees, and a structured process for employees to raise concerns. New employees receive a copy of the Code when they begin service and are required to acknowledge their understanding of and commitment to the Code. All employees are required to renew that acknowledgment annually.

The Company has established a confidential reporting mechanism through which employees and others may raise concerns about accounting, internal controls, auditing, ethical, or compliance matters. Reports may be made through an independent hotline or a web-based system that accepts both identified and anonymous submissions, to the extent permitted by law. Concerns involving an executive officer or a senior financial officer are escalated directly to the audit committee. The Company promptly reviews all reported concerns, maintains appropriate confidentiality during any investigation, and takes remedial action when warranted.

The Code specifically addresses conflicts of interest, corporate opportunities, fair dealing with customers, suppliers, competitors, and government authorities, gifts and entertainment, anti-bribery and anti-corruption, insider trading, data privacy, and proper use of Company property. Employees are expected to disclose potential conflicts of interest to their managers or the compliance office before undertaking outside activities or transactions that could interfere with the Company's interests. Executive officers and directors must obtain approval from the audit committee before entering into any transaction that could present a material conflict of interest.

The Company prohibits retaliation against any individual who, in good faith, reports a suspected violation or participates in an inquiry or investigation. Any act of retaliation is itself a violation of the Code and may result in disciplinary action. Disciplinary measures for violations of the Code may include training, counseling, a written warning, suspension, reassignment, or termination of employment, as appropriate to the circumstances and the nature of the violation. The Company takes consistent and proportionate action to reinforce the importance of ethical conduct across the organization.

The Code and related ethics policies are reviewed periodically and updated when necessary to reflect changes in legal requirements, regulatory expectations, and business practices. Any amendment to the Code or grant of a waiver of the Code for an executive officer or director requires the prior approval of the audit committee. The Company also conducts periodic assessments of the effectiveness of its ethics program, including an evaluation of reported concerns, investigation outcomes, and training completion, as part of its ongoing commitment to an ethical workplace culture.

NOTE 19.13. Board and Committee Governance Structure

The business and affairs of the company are managed under the direction of its board of directors, which is elected by the company's stockholders and acts pursuant to the company's certificate of incorporation, bylaws, and board-approved corporate governance guidelines. The board provides strategic oversight of management and is responsible for the company's long-term direction, its major capital allocation decisions, its overall risk appetite, the

integrity of its financial reporting, its legal and regulatory compliance, and the succession planning process for its senior management. Directors are expected to attend all board and committee meetings, to review meeting materials in advance, and to exercise independent judgment on all matters presented for board action.

The board of directors currently consists of seven members, a majority of whom are independent in accordance with the company's governance standards. The company has not adopted a policy requiring the separation of the roles of chief executive officer and board chair, and the board may combine or separate those roles as it deems appropriate in light of the company's circumstances. The board currently combines those roles, with the chief executive officer serving as chair. In addition, the board has designated a lead independent director, who presides over executive sessions of the independent directors, collaborates with the chair in setting board agendas, and has the authority to call meetings of the independent directors and to retain advisors at the board's discretion.

The board has established four standing committees: the audit committee, the compensation committee, the nominating and corporate governance committee, and the executive committee. Each committee operates under a written charter approved by the board, and the charters are reviewed annually by the respective committee and the full board. Committee assignments are made on an annual basis by the board upon the recommendation of the nominating and corporate governance committee. Each member of the audit committee, the compensation committee, and the nominating and corporate governance committee satisfies the company's independence standards, and the audit committee includes at least one member whom the board has designated as a financial expert.

The audit committee oversees the company's accounting and financial reporting processes, including the quality and integrity of the consolidated financial statements, the effectiveness of internal control over financial reporting, and the qualifications, independence, and performance of the company's independent auditor. The audit committee is responsible for the appointment, compensation, retention, and oversight of the independent auditor and for pre-approving all audit and permitted non-audit services. The audit committee also reviews and approves related-party transactions in accordance with the company's related-party transaction policy and maintains procedures for the confidential and anonymous submission of concerns regarding accounting, internal control, or auditing matters. The audit committee meets periodically with management, the company's internal audit function, and the independent auditor, and it regularly holds executive sessions without management present.

The compensation committee reviews and approves the compensation of the company's executive officers, including base salary, annual incentive compensation, and long-term incentive compensation. The committee administers the company's cash-based and equity-based incentive plans, assesses whether the company's compensation programs encourage inappropriate risk-taking, and reviews management succession plans for executive officer positions. The compensation committee retains and consults with independent compensation advisors, and it is responsible for evaluating the qualifications and independence of any such advisors before engaging their services.

The nominating and corporate governance committee identifies and evaluates candidates for election to the board, recommends director nominations and committee assignments, and oversees the company's corporate governance guidelines. In considering candidates for board membership, the committee takes into account the current composition of the board, the skills and experience relevant to the company's business, and the board's criteria for membership, which include integrity, judgment, business acumen, diversity of perspective, and the capacity to devote sufficient time to board responsibilities. The committee also oversees annual self-evaluations of the board and its committees, director orientation and continuing education, and the process by which stockholders and other interested parties may communicate with the board.

The executive committee is authorized to act on behalf of the board between regular board meetings on matters delegated by the board, except for actions that require approval of the full board under applicable law, the company's certificate of incorporation, or the company's bylaws. The authority delegated to the executive committee, including with respect to the approval of capital expenditures and other significant commitments, is subject to a stated maximum, and all actions taken by the executive committee are reported to the full board at the next regularly scheduled board meeting.

The board has ultimate responsibility for the oversight of risk, which it exercises both directly and through its committees. The board reviews the company's enterprise risk management framework and the principal risks facing the company, and it considers whether management's risk mitigation strategies are appropriate. The audit committee provides focused oversight of risks relating to financial reporting, internal controls, cybersecurity, and compliance. The compensation committee oversees risks arising from compensation policies and practices. The nominating and corporate governance committee oversees risks relating to board effectiveness, director succession, and corporate governance. The board receives periodic reports from each committee on the matters for which that committee is responsible.

The company maintains a code of business conduct and ethics that applies to all directors, officers, and employees. Any waiver of the code for a director or executive officer may be granted only by the board or by a committee of independent directors designated for that purpose. New directors participate in an orientation program upon joining the board, and all directors are expected to engage in continuing education on governance, regulatory, and industry developments relevant to the company.

NOTE 19.14. Executive Compensation Philosophy

The Company's executive compensation philosophy is designed to attract, motivate, and retain a high-caliber

leadership team in a competitive market for privately held businesses of comparable scale, complexity, and growth ambitions. The philosophy is grounded in a pay-for-performance model, which means that a significant portion of each executive's total compensation opportunity is variable and tied to the successful achievement of the Company's strategic, financial, and operational objectives. At the same time, the program is intended to encourage prudent risk management, long-term business sustainability, and responsible stewardship of the Company's assets and relationships. The governing body of the Company administers the philosophy with the assistance of periodic market reviews and its own judgment about the particular circumstances of the business, the individual executive, and the broader leadership team.

Base salaries are designed to provide a stable, competitive foundation of cash compensation for each executive. Salary levels are established as part of an annual review process that considers the executive's role scope, demonstrated capability, experience, and the external market for comparable positions. Base pay is intentionally set at a level that is adequate to attract and retain strong leaders but that remains a modest portion of total compensation opportunity, so that meaningful reward is reserved for achievement of performance goals rather than merely fulfilling routine responsibilities. The governing body reviews salary levels on a regular cycle and will adjust them where warranted by changes in responsibilities, individual performance, or the external market.

Annual incentive compensation is provided through an incentive plan that rewards results achieved during a defined performance period. Performance goals are established at the outset of the period and are structured around the financial and operational measures that most closely reflect the Company's strategic priorities for that period. In evaluating performance, the governing body applies judgment and considers not only the degree to which the stated goals were achieved, but also the quality and sustainability of the results, the executive's individual contribution, adherence to the Company's risk appetite, and compliance with policies governing conduct and ethics. Each executive's annual incentive opportunity is subject to a stated maximum, and the governing body has full discretion to reduce an award where results are achieved in a manner inconsistent with the Company's long-term interests.

Long-term incentive compensation is a critical component of the philosophy because it aligns executives with the ownership perspective and encourages decisions that build enduring value over multiple years. The Company believes that executives should have a meaningful stake in the long-range success of the enterprise, and it therefore uses incentive vehicles that derive their benefit from long-term growth in the value of the Company's equity ownership. Such incentives are generally subject to a multi-year vesting requirement so that the executive's reward depends on continued service and, where applicable, on the achievement of sustained performance objectives. The long-term incentive program is meant to reinforce executive retention, cultivate a successor leadership pipeline, and discourage excessive focus on short-term results at the expense of the Company's future.

The Company also provides a competitive and reasonable package of benefits and limited perquisites that are reviewed periodically to ensure they remain appropriate for the executive group. Executives participate in the broad-based benefit plans available to employees generally, and any supplemental benefits are modest in nature and designed to support the executive's health, welfare, and retirement security. The philosophy does not favor guaranteed or near-guaranteed incentive outcomes, and the Company does not promise fixed annual increases or automatic pay progression. Rather, total compensation is expected to vary with performance, and the governing body retains the authority to exercise negative discretion where an award or salary adjustment is not warranted.

Overall, the executive compensation philosophy is intended to support a strong governance culture in which compensation decisions are made deliberately, transparently, and with a clear view of the Company's long-term objectives. The governing body periodically evaluates whether the philosophy remains effective in light of the Company's evolving strategy, competitive landscape, and ownership expectations. The emphasis on performance-based pay, balanced metrics, multi-year incentives, and retained discretion reflects the Company's conviction that executive compensation should reinforce both accountability for today's results and responsible leadership for the future.

NOTE 19.15. Employee Relations and Labor Matters

The Company considers its employees to be essential to the successful execution of its business strategy and maintains employee relations programs intended to foster a productive, respectful, and collaborative work environment. The Company’s human resources function establishes and oversees workplace policies relating to hiring, promotion, discipline, leaves of absence, accommodations, grievances, and terminations. Management regularly communicates with employees through site-level meetings, written communications, and performance discussions, and encourages employees to raise concerns through established channels without fear of retaliation. The Company believes that its overall employee relations are constructive and that its workplace culture supports operational continuity.

The Company employs a significant full-time workforce across its administrative, operational, and distribution functions, supplemented by part-time and seasonal personnel where operational needs require. Employee scheduling is structured to align with production and service demands, and the Company seeks to provide stable and predictable hours wherever feasible. The Company monitors employee turnover, internal promotion rates, and engagement through periodic employee surveys and exit interviews. During the most recently completed fiscal year, turnover remained within management’s expectations and did not materially affect operations. Retention efforts include competitive compensation, benefits, and career development opportunities, as well as recognition programs and an emphasis on workplace safety.

At certain of the Company's locations, employees are represented by labor organizations pursuant to collective bargaining agreements. These agreements establish terms and conditions of employment for represented employees, including wages, hours, overtime, shift differentials, seniority, grievance and arbitration procedures, leaves, and benefits. The Company negotiates successor agreements as existing agreements expire and believes its relationships with the relevant labor organizations are generally stable. No material strike, lockout, or other work stoppage occurred during the most recently completed fiscal year. The Company periodically assesses labor relations at each represented location and considers the potential for disputes when developing operational plans.

The Company provides a compensation and benefits structure designed to attract and retain qualified employees. Base wages are supplemented by incentive compensation for eligible employees based on individual, operational, or business performance. Benefits include health and welfare coverage, retirement savings arrangements, life and disability insurance, paid leave, and other voluntary programs. The Company also invests in workforce training, including onboarding, compliance training, cross-training, and leadership development. Tuition assistance is available for employees pursuing job-related education. Employees are evaluated on a regular cycle, and individual development plans are used to support skill advancement and internal progression.

The Company maintains a comprehensive occupational health and safety program that includes workplace safety policies, hazard identification and mitigation, safety training, use of personal protective equipment, regular inspections, incident reporting and investigation, and return-to-work practices. Employee participation in safety committees is encouraged at operational locations. The Company's safety objectives emphasize continuous improvement and are reviewed by management on a regular basis. The Company also monitors compliance with federal, state, and local employment and labor laws, including wage and hour requirements, anti-discrimination and harassment protections, family and medical leave, and workplace safety standards. The Company believes it is in substantial compliance with all applicable requirements.

Employee-related risks are considered as part of the Company's broader risk management activities. Principal labor-related risks include competition for skilled labor, cost pressures from wages and benefits, changes in employment and immigration law, and potential labor disruption. The Company seeks to mitigate these risks through market-informed compensation, workforce planning, succession planning, and maintaining open lines of communication with employees and their representatives. The Company maintains severance arrangements for certain employees, with benefits subject to a stated maximum. In the opinion of management, the Company is not involved in any material pending or threatened labor dispute, grievance, arbitration, or employment-related litigation that would have a material adverse effect on the consolidated financial statements.

NOTE 19.16. Real Property Leased Facilities Overview

The Company leases real property from unrelated landlords to support its administrative, distribution, field service, and sales activities. These leased facilities are located throughout the United States in the principal regions where the Company operates. The discussion in this section describes the physical premises occupied by the Company and the material operating features of the leases for those premises; the related classification and measurement of lease obligations are presented in the lease disclosures included elsewhere in this statement set.

The Company's principal executive office is a multi-story building in an office park. This facility houses the Company's executive management, finance, accounting, legal, human resources, information technology, procurement, and marketing personnel. The building contains private offices, open work areas, conference and training rooms, a records center, and a secure information technology equipment room. The lease for this building includes access to a shared parking structure and common entry and loading facilities. The Company occupies the entire building and manages the space to accommodate the organization's current and expected staffing levels. The premises are generally open during normal business hours, with after-hours access controlled by the Company's security systems.

The Company also leases a centralized distribution and light-assembly facility in an industrial area. This facility is used for inventory receiving, quality inspection, product configuration, kitting, staging, and outbound shipment activities. The building has high-bay storage areas, climate-controlled finishing rooms, multiple shipping and receiving docks, and a vehicle maintenance bay. A secured outdoor yard adjacent to the building is used for trailer parking and the temporary handling of large or bulky materials. The distribution facility is the principal point through which the Company manages its physical supply chain, although the Company's field offices also maintain limited inventory to support local service activities.

The Company's remaining leased facilities are field sales and service locations. These facilities are smaller structures or leased suites within commercial buildings, and they serve as the local base for the Company's sales representatives and service technicians. Typical field locations include a customer reception and conference area, an office area, a parts and tool storage room, and, in some locations, a workshop or service bay. The Company configures each field facility to meet the particular requirements of the local market it serves, such as vehicle access, security, or proximity to the Company's customers. The Company also leases temporary storage space from time to time to accommodate seasonal inventory peaks and specific customer projects. This temporary storage is arranged on an as-needed basis and does not alter the Company's long-term facility strategy.

The leases for the Company's real property facilities have varying remaining terms and generally contain customary provisions governing maintenance, repair, insurance, utilities, and permitted use. Under the material terms of these leases, the Company is generally responsible for day-to-day building upkeep, janitorial services, utility costs, and minor repairs. The landlords are generally responsible for structural elements, roof systems, exterior walls, and major

common-area building systems. Many of the leases provide for annual rent adjustments based on a general price index or on a fixed escalation schedule contained in the lease. Some leases include options to renew the lease for additional periods, and some include rights to expand the leased premises into adjacent space. Management evaluates these options when deciding whether to extend or relocate a facility, considering the location needs of the relevant operations, the condition and suitability of the premises, and current market conditions.

Certain of the Company's lease agreements provide for landlord-funded tenant improvement allowances or other landlord-financed improvements. Any landlord funding obligation under these arrangements is subject to a stated maximum and is available only for qualifying construction and design costs, generally upon the landlord's approval of plans, completion of the improvements, and receipt of reasonable supporting documentation. The Company generally funds additional leasehold improvements with its own resources and selects finishes and building systems that are expected to be useful over the initial term of the applicable lease. At the end of a lease term, the Company is typically required to surrender the premises in the condition contemplated by the lease, with ordinary wear and tear excepted, and in certain cases may be required to remove improvements installed by the Company and restore the premises to a base condition.

The Company does not lease any real property from a related party, nor does it have any significant sublease arrangements with third parties. The lease terms for the real property facilities described above are consistent with market terms and have not imposed any unusual restrictions on the Company's ability to operate its facilities. Management believes that the leased real property portfolio is adequate for the Company's operations and that the Company will be able to renew or replace, on reasonable terms, any leases that expire in the foreseeable future.

NOTE 19.17. Fleet and Equipment Leasing Practices

The Company relies on a combination of owned and leased rolling stock and operating equipment to support its primary business activities. Leasing is used as a principal source of fleet capacity because it aligns capital deployment with operational demand, preserves liquidity, and transfers certain residual and technological risks to lessors. The Company's leasing practices apply to tractors, trailers, trucks, automobiles, and a variety of specialized equipment used in loading, hauling, storage, and maintenance functions. Equipment is selected based on operational suitability, expected useful life, delivery timing, anticipated residual position, and the overall cost of the lease relative to ownership.

Fleet acquisition and replacement are governed by an internal asset management policy. The policy requires regular operational reviews, typically on an annual cycle, at which point older or less efficient units are identified for replacement, and lease renewals or new lease originations are approved. The Company does not maintain a fixed percentage of leased versus owned equipment. Instead, the mix is reviewed periodically against operational requirements, forecasted demand, anticipated regulatory changes, and the pricing of available lease terms. When a lease expires and the equipment is still operationally appropriate, the Company may exercise an option to renew for an additional period, negotiate a new lease for replacement equipment, or purchase the equipment at its contractual residual value. The exercise of renewal and purchase options is evaluated on a unit-by-unit basis, with emphasis on maintenance cost expectations and the remaining useful life of the asset.

Most leases of fleet vehicles and heavy equipment are structured as non-cancelable operating leases with terms that are customary for the relevant asset class. Lease payments are generally fixed for the initial term, though certain leases contain variable payments based on usage, including mileage, fuel consumption, or hours of operation, and those variable payments are recognized as incurred. A number of lease agreements include maintenance, tire, and road-service provisions under which the lessor provides routine servicing and emergency roadside support for a stated fee. Other agreements place full maintenance responsibility on the Company, requiring it to perform scheduled preventive maintenance, repairs, and compliance inspections. The Company's maintenance practices are intended to keep leased equipment in safe and efficient operating condition and to protect the residual position of the underlying assets.

The Company also participates in lease arrangements that allow for adjustments in fleet composition. Certain master leases permit the Company to add equipment during the term or return equipment on a staggered schedule. These flexible arrangements are generally made available by a limited number of lessors with whom the Company has extended relationships. In those arrangements, the Company is typically obligated to maintain the equipment and to pay for excessive wear and tear, with liability subject to a stated maximum in some agreements. The Company carries collision and liability insurance on leased equipment under its corporate insurance program, with the insured coverage satisfying lessor requirements in most cases. Where a particular lessor requires additional protection, the Company arranges for supplemental coverage through the same program.

Leased equipment is typically dedicated to a specific operating segment or dispatch location. Utilization is monitored through on-board telematics, fuel records, and maintenance logs. Underutilized units are reviewed for redeployment to another location or for early return where lease terms permit. The Company coordinates early termination of a lease only when it is economically justified and the applicable lease agreement contains an early buyout or termination right. In certain instances, the Company enters into sublease arrangements for equipment that is temporarily not required for its own operations; sublease income is recognized over the term of the sublease, and the original lease obligation remains with the Company. The Company assesses the collectibility of sublease rentals and, where necessary, establishes appropriate allowances.

Because replacement cycles are a central element of fleet management, the Company takes delivery of new leased

equipment throughout the period between major policy reviews. Delivery schedules are coordinated with vendors to minimize downtime and to avoid extending the service life of equipment beyond a safe or economical point. The Company does not rely on any dominant lessor for its equipment, and it uses competitive bidding for larger lease commitments. This approach provides the Company with negotiating leverage on lease rates, residual values, and service terms. Vendor relationships are maintained with manufacturers, dealers, independent lessors, and finance companies engaged in equipment leasing.

The Company’s leasing practices are also shaped by the operational need to comply with safety, emissions, weight, and driver operating regulations. Equipment specifications are reviewed to confirm that leased units meet applicable regulatory standards at the time of delivery. Where future regulatory changes are anticipated, the Company may structure the lease term to align with the expected compliance date or include provisions allowing the equipment to be replaced before the end of its originally contemplated service period. These provisions help the Company avoid the costs associated with operating noncompliant assets and preserve flexibility in an evolving regulatory environment.

Overall, the Company regards leasing as an important operational tool rather than merely a financing technique. The Company uses leasing to manage its fleet age profile, to match equipment costs with the revenue generated from customer contracts, and to reduce the risk of owning assets that may become obsolete or require significant capital investment. The Company regularly reassesses its leasing strategy as part of its broader capital allocation process, but it does not view any individual lease factor in isolation. Each lease is evaluated on its own terms, and the Company’s fleet and equipment leasing practices are intended to support safe, reliable, and efficient operations while maintaining flexibility to respond to changing market conditions.

NOTE 19.18. Information Technology Systems Overview

The Company maintains an integrated application environment that supports its principal business processes. This systems overview addresses the software applications, data stores, integration services, and application-level controls that operate on top of the Company's computing and network resources. The underlying hardware, network, and hosting resources are addressed in the separate information technology infrastructure presentation in this statement set. The application environment is managed by the Company's information technology organization, with certain specialized functions supported by external vendors under documented service arrangements.

The center of the application landscape is a leading enterprise resource planning platform that serves as the system of record for the general ledger, accounts payable, accounts receivable, fixed assets, procurement, inventory, and intercompany accounting. The platform is configured to reflect the Company's legal entity structure and internal reporting segments. Finance, operations, and accounting personnel interact with the platform through role-based workspaces that limit functionality to the privileges assigned in the Company's user access matrix. The platform also contains a module used by the financial reporting team to perform consolidations and prepare financial statement close packages.

Surrounding the enterprise resource planning platform are specialized applications for customer relationship management, billing and contract administration, warehouse management, transportation planning, and human capital management. The billing and contract administration application maintains customer terms and produces invoices that feed the general ledger. The warehouse management system supports inventory movement and scanning operations and transmits transaction counts to the inventory module. The human capital management application manages payroll, time and attendance, benefits, and employee records, and its payroll outputs are integrated into the accounting platform through an automated posting process. Each supporting application has a designated system owner and a published data dictionary that defines the fields used in interfaces.

Data flows between systems are governed by an enterprise integration layer that supports both synchronous service calls for immediate transactions and asynchronous message queues for bulk and event-driven data. Interface monitoring is performed continuously, and failed messages are quarantined in a stuck-queue area for review by integration operations. The Company maintains runbooks for restart and reprocessing of interfaces, and significant interface changes are tested in the integration environment before release. Data mappings and transformation rules are version-controlled and are subject to the same change management process as application code.

The reporting environment is built around a centralized data warehouse that receives extracts from the enterprise resource planning platform and supporting applications on a controlled schedule. Source-to-target reconciliation is performed after each load, and balancing reports are sent to the controllership team for review. The warehouse feeds a reporting platform used for internal management reports, financial statement analytics, and operational dashboards. Report definitions are managed as controlled objects, and access to the reporting library is granted through a separate request process that requires approval from the financial reporting manager. Data quality checks identify missing, duplicate, or unexpected values in key data fields, and exceptions are logged and assigned to the relevant process owner.

Access to applications is governed by identity and access management policies that follow the principle of least privilege. New user access requests, changes to existing access, and access terminations are processed through a workflow that requires approval by the initiating manager and, for privileged accounts, the information security function. The Company performs periodic access recertification on all applications that are considered financially significant. Administrative access to the enterprise resource planning platform is restricted to a small group of individuals whose activities are subject to logging and review. Segregation of duties rules are applied within the

platform so that no single user can initiate, authorize, and record the same type of transaction without a compensating control.

Application changes are introduced through a structured systems development life cycle. The Company classifies changes into regular and emergency categories. Regular changes are scheduled and move through development, unit testing, systems integration testing, and user acceptance testing. Emergency changes are documented with a rationale and are subject to a post-implementation review within a reasonable period after deployment. Production transports are performed by a release management function that is separate from the developers who wrote the change. The change records, test evidence, and approval history are maintained in a central change management system and are available for inspection during internal control testing.

The Company's information technology general controls are designed to provide reasonable assurance that programs are developed and changed under authorization, access to programs and data is restricted to authorized users, and operations continue in a reliable manner. These controls are documented in the Company's internal control framework and are tested on a periodic basis. The internal audit function reviews the results of that testing and tracks any findings to remediation. Significant deficiencies are reported to the audit committee in accordance with the Company's reporting protocol.

Business continuity requirements are defined by a business impact analysis that assigns a recovery priority and recovery time objective to each critical application. The Company performs documented restore tests for the enterprise resource planning platform and supporting data stores on a rotating schedule. Failover exercises are conducted for applications hosted in the Company's facilities, while cloud-based applications are assessed by reviewing the vendor's independent control reports and by performing a periodic operational review. Continuity test results, including any gaps and corrective actions, are reported to the information technology steering committee and used to update the Company's continuity plans.

NOTE 19.19. Business Continuity and Disaster Recovery Planning

The Company maintains a business continuity and disaster recovery program designed to protect the safety of personnel, safeguard physical and information assets, and restore critical business functions in an orderly manner following a significant disruption. The program is overseen by the chief information officer and the chief financial officer, with periodic reporting to the audit committee of the board of directors. Business continuity planning is integrated with the Company’s enterprise risk assessment, which identifies the processes most essential to ongoing operations, including order management, supply chain activities, customer service, payroll administration, regulatory reporting, and internal financial reporting.

The program is built on a business impact analysis that management refreshes at least annually and whenever a material operational change occurs. The analysis ranks business processes according to their sensitivity to downtime and their reliance on internal technology, third-party service providers, and physical facilities. Recovery strategies are documented for each priority process and are captured in departmental continuity plans. These plans include alternate work arrangements, role-specific response procedures, communication escalation paths, data restoration steps, and manual workarounds to be used while automated systems are being returned to service.

Disaster recovery planning is maintained in coordination with, but separately from, the broader business continuity plans. The Company’s information technology group maintains a documented disaster recovery plan for the systems that support critical business processes. The plan addresses the Company’s primary data center, network infrastructure, communications systems, and end-user computing environments. Backups of critical data and system images are performed on a routine schedule, and copies are maintained in a secure on-site environment as well as at a geographically separate off-site location. Backup media are encrypted, and access is limited to authorized personnel. The disaster recovery plan designates a recovery team, assigns specific roles and responsibilities, and establishes a sequence of restoration activities. It also identifies alternate processing facilities that can be activated when primary facilities are unavailable. For hosted software and infrastructure provided by third-party vendors, the Company reviews those vendors’ continuity controls and incorporates the related dependencies into its own response and testing procedures.

The Company conducts scheduled tests of its business continuity and disaster recovery arrangements. For technology systems, the disaster recovery plan is exercised at least annually using a scenario that includes the loss of the primary processing site. The testing validates the restoration of data and the availability of critical applications within the Company’s stated recovery objectives. For business processes, management performs tabletop exercises that simulate a range of plausible disruption scenarios, including extended facility outages, cyber-attacks, telecommunications failures, and severe weather. After each test, participants document the results, identify gaps, and prepare corrective action plans. Management tracks the completion of those corrective actions and reports the status to the audit committee.

The Company maintains a crisis management team that is activated for significant disruptions. The team includes senior leadership from operations, information technology, finance, legal, human resources, and communications. The team is responsible for declaring a disaster, directing the response, allocating resources, and approving the resumption of normal operations. A written crisis communications plan describes how the Company will communicate with employees, customers, suppliers, regulators, and other stakeholders during a disruption. The communications plan includes provisions for internal status updates, customer notification, and public messaging, and it designates authorized spokespersons. The plan is reviewed and updated as staffing and contact information change, with a

comprehensive review performed at least annually.

The business continuity and disaster recovery program is subject to ongoing governance and continuous improvement. The internal audit function performs periodic reviews of the program’s design and effectiveness and reports its findings to the audit committee. Management considers the results of internal audits, external assessments, and post-incident reviews when updating the program. The Company also maintains business interruption insurance as a partial mitigation against the financial impact of certain disruptions, recognizing that such insurance is subject to a stated maximum and may not cover all losses. The Company’s objective is to enable a coordinated and orderly response that protects employees, preserves stakeholder confidence, and restores critical operations as quickly as practicable in light of the nature and scale of the disruption.

NOTE 19.20. Product Quality and Recall History

The Company maintains a documented product quality assurance program that governs quality across the full product lifecycle, encompassing product design, supplier selection, incoming inspection, manufacturing, finished product testing, distribution and post-market surveillance. The program is set forth in a quality manual and supporting standard operating procedures, and is administered by a dedicated quality assurance function with defined responsibilities for quality planning, quality control and internal quality auditing. Quality assurance personnel report separately from the Company's commercial functions, and quality records are maintained in a manner designed to support traceability and regulatory inspection.

For products developed by the Company, design controls are applied that include design input specification, design review, verification, validation and risk assessment. New products and significant product changes are not released for commercial production until the applicable design reviews have been completed and the results have been documented. Purchased materials and components are obtained from suppliers that have been evaluated and approved under the Company's supplier qualification program, which includes assessment of supplier quality systems, incoming inspection of representative materials and periodic monitoring of supplier performance. Suppliers that fail to maintain satisfactory quality performance are subject to corrective action procedures and, where appropriate, removal from the approved supplier list.

In the Company's manufacturing operations, product quality is supported by trained personnel, documented work instructions, in-process inspection checkpoints and final acceptance testing. Manufacturing equipment is maintained in accordance with calibration and preventive maintenance schedules, and products are manufactured in identifiable lots or batches to support traceability. The Company also operates a complaint handling and post-market surveillance process through which customer feedback, field observations and other quality-related information are collected, investigated and analyzed for emerging trends. When an investigation identifies a root cause, the Company documents and implements corrective and preventive actions and monitors the effectiveness of those actions through follow-up review.

The Company has established a recall and field action procedure that defines the process for evaluating product defects, determining whether a voluntary recall, market withdrawal or field correction is appropriate, and executing the required actions. The procedure addresses the composition and responsibilities of the response team, the notification of customers and distribution partners, communication with applicable regulatory authorities, and the disposition of affected product. Each phase of the procedure is subject to a stated maximum duration to facilitate a timely response, and decisions to initiate a field action are escalated to senior management.

During the periods presented in these financial statements, the Company has from time to time undertaken voluntary field actions in response to isolated product quality concerns identified through internal testing, supplier notifications or customer feedback. These actions have involved limited volumes of finished goods and were completed without material disruption to the Company's operations, customer relationships or distribution network. Management believes that none of these actions has had a material adverse effect on the Company's consolidated financial position, results of operations or cash flows, and the Company is not aware of any pending or threatened recall, field action or other product quality matter that management believes is reasonably likely to result in a material adverse effect on the Company's financial statements taken as a whole. Management periodically reviews the adequacy of the quality assurance program through internal audits, external assessments and analysis of quality metrics, and continues to implement enhancements intended to strengthen product quality and reduce the likelihood of future field actions.

NOTE 19.21. Regulatory Licenses and Permits

The Company and its regulated subsidiaries maintain all material regulatory licenses, certificates of authority, permits, registrations, and similar authorizations required for the conduct of their consolidated operations in the ordinary course. The principal authorizations under which the Company operates are the certificates of authority issued by the insurance regulatory authorities in each jurisdiction where the Company underwrites risks or issues policies. Those certificates are issued only upon satisfaction of certain preconditions, are renewable at intervals prescribed by the applicable regulator, and are subject to ongoing compliance with insurance statutes, regulations, and administrative guidance. The Company also maintains such other licenses as are required for the marketing, underwriting, servicing, and adjustment of its products, including producer and adjuster licenses held in the individual names of its employees and appointees. The Company monitors the continued effectiveness of these licenses through a centralized compliance system and initiates reinstatement or new applications when business needs arise.

The Company is authorized to transact insurance business in the jurisdictions where it has been admitted by the

applicable insurance department. In addition, where required, the Company transacts business on a nonadmitted basis solely in accordance with the surplus lines laws and other applicable regulations of the relevant jurisdictions. The Company maintains all requisite registrations that authorize it to act as a licensed or eligible insurer, reinsurer, or servicing entity in those markets. The Company files periodic statutory financial statements, responds to regulatory inquiries, and participates in financial and market conduct examinations conducted by state insurance departments. The Company considers its compliance with these regulatory obligations to be integral to the continuation of its licenses and permits.

The Company also holds general business permits and licenses unrelated to insurance. These include local business tax registrations, certificates of occupancy for the offices it operates, and permits required under health, fire, safety, and environmental codes applicable to its premises and activities. The Company tracks the expiration and renewal dates for each such permit and ensures that applications for renewal are submitted before the relevant expiration date. In certain jurisdictions, the duration of a license or permit is subject to a stated maximum under local law, and the Company renews those authorizations as needed to keep them continuously in effect. The Company believes that it is in substantial compliance with the conditions and limitations of all licenses and permits it holds.

As a condition of maintaining certain licenses, the Company posts surety bonds and other security with regulatory authorities. The Company’s obligation under each bond is subject to a stated maximum, and the Company believes that the coverage currently in force satisfies all applicable statutory and regulatory requirements. The Company maintains records of each bond and its renewal cycle so that lapses in coverage do not occur. The Company believes that no regulatory authority has initiated any proceeding to revoke, suspend, or materially limit any license or permit held by the Company, and no such proceeding is pending or threatened as of the end of the most recently completed fiscal year.

Management regularly reviews the Company’s licensing and permit portfolio and allocates resources to maintain compliance with all applicable requirements. The Company maintains relationships with regulators, responds to examinations and information requests, and adjusts its licensing footprint as the scope of its operations changes. Operating without a required license or permit in any jurisdiction could expose the Company to fines, penalties, or suspension of activity, and management considers the preservation of its regulatory authorizations to be fundamental to the Company’s ability to conduct its business.

NOTE 19.22. Customer Contracts and Terms Overview

The Company sells its products and services to customers under written agreements that combine the Company's standard terms and conditions with order-specific documents. The primary order documents are customer purchase orders, master sales agreements, statements of work, and signed quotations. Each order document identifies the goods or services to be provided, the agreed price, the delivery schedule, and the location and manner of delivery. The Company also has several long-term supply arrangements under which customers issue release orders against an overarching master agreement. These master agreements address commercial terms such as pricing, payment, intellectual property, warranties, confidentiality, data protection, and dispute resolution, while the individual release orders specify the particular quantities and delivery dates.

The Company's contracts generally contain a single performance promise in the form of the entire product system or, for combined product and service transactions, separate promises for the product, installation, and any post-delivery support. Where a contract includes multiple deliverables, the parties negotiate the total contract price and assign relative commercial values to each component. Certain contracts provide customers with the right to choose additional services under separately priced rate schedules. The Company is generally not obliged to repurchase delivered goods, and customers do not have return rights other than those related to damaged goods, defective goods, or a failure to meet the written acceptance criteria in the contract.

Payment terms vary by customer category, type of contract, and credit profile. Invoices are generally due within a stated number of days from the date of invoice, with larger or longer-term projects often requiring an advance payment, progress payment, or milestone payment before final delivery. The Company does not routinely provide extended payment terms, and any extension beyond the standard commercial terms must be approved in writing. The stated prices are generally firm for the duration of the relevant order or contractual commitment. Some contracts contain price adjustment clauses tied to changes in specified input costs or to agreed changes in scope, and certain volume-based arrangements include discounts, rebates, or other pricing incentives that depend on cumulative purchase quantities. Any such adjustments are documented in amendments, rate cards, or the original contract schedule.

The Company provides a standard limited warranty covering defects in materials and workmanship for a defined period following delivery or, for installed systems, completion of installation. Additional or extended warranties are sold separately under service agreements. To the extent a contract includes an obligation for the Company to provide ongoing technical support, updates, or maintenance, that obligation is set forth as a distinct service with its own term and fee schedule.

Contracts may be terminated only as expressly provided in the agreement. Many master agreements are for an initial stated term and may renew for successive periods unless either party supplies written notice of non-renewal. Customers may generally terminate the contract for convenience only upon written notice and payment for all goods ordered and services performed through the effective date of termination, along with agreed cancellation charges, if any. The Company may terminate for the customer's material breach, insolvency, or failure to pay in accordance with

the agreed terms. Termination does not extinguish liabilities that accrued before termination and does not relieve either party from obligations that by their nature survive termination, including confidentiality, indemnification, warranty, and limitation of liability provisions.

The Company generally retains ownership of the intellectual property embedded in its products, including any software, designs, manufacturing methods, and know-how. Customer-specific data, and any intellectual property the customer provides to the Company, remain the property of the customer. The Company grants customers non-exclusive, non-transferable rights to use the delivered products and associated documentation for the customers' internal business purposes, subject to the payment terms and the usage restrictions described in the agreement.

Certain contracts include indemnification obligations pursuant to which the Company assumes responsibility for third-party claims that the products infringe the intellectual property rights of another party. Indemnification obligations of this kind are subject to a stated maximum and to the customer's prompt notice and cooperation. The Company also customarily includes mutual confidentiality provisions and, in certain agreements, a general limitation of liability under which neither party is liable for indirect or consequential damages and the aggregate liability of either party is subject to a stated maximum. Any limitation of liability provisions do not apply to amounts that cannot be limited by applicable law.

The Company does not enter into contracts that contain open-ended supply or pricing obligations. All material commercial terms, including quantities, prices, and delivery dates, are either stated in the order documents or capable of being determined from the terms of the master agreement. Contracts of this nature are used consistently across the Company's customer base, with negotiated deviations approved by the appropriate level of management.

In the ordinary course, customers submit changes to scope, timing, or specifications using a change request or a revised purchase order; such changes become effective only after the Company accepts a corresponding price adjustment or other contract modification in writing.

NOTE 19.23. Pricing Policy and Practices

The company maintains a formal pricing policy that establishes the principles, methodologies, and governance procedures applied in setting prices for its products and services. The policy applies across all business segments and geographic areas in which the company operates and is designed to ensure that prices are adequate, competitive, and consistent with the company's long-term financial objectives. The policy is approved by the company's board and is administered by senior management through a structured pricing governance framework.

Pricing decisions are based on an assessment of the expected cost of providing the product or service, the risk assumed by the company, and the need to achieve a satisfactory return on the capital required to support the business over time. The policy requires that prices reflect the value delivered to customers while remaining sufficient to cover anticipated costs and to support the financial soundness of the company. Market conditions, competitive dynamics, and customer expectations are also considered so that the company's pricing remains appropriate in each of the markets where it operates.

The company employs a structured pricing process for each significant product line. This process begins with an analysis of historical experience and current trends, followed by the development of projections regarding future performance. The company evaluates the risk characteristics of each customer, transaction, or group of risks and uses that evaluation in setting price levels. The pricing process also includes an assessment of expected administrative costs, the cost of any reinsurance or risk transfer arrangements, and an appropriate allowance for the use of capital. All pricing analyses are documented and retained in accordance with the company's internal control procedures.

The company distinguishes between initial pricing for new business and pricing applied at renewal. For contracts that remain in force, renewal pricing is reviewed using current experience and expectations rather than relying solely on assumptions established at inception. This approach allows the company to respond to emerging trends while maintaining continuity for customers. Where contract terms permit, the company may adjust prices at renewal to reflect changed circumstances, provided that any such adjustment is consistent with the pricing policy and with applicable regulatory constraints.

A dedicated pricing committee provides oversight of pricing decisions and is responsible for reviewing proposed prices before they are implemented. The committee includes senior representatives from the business, finance, risk, and actuarial functions. The committee meets on a regular basis and has the authority to approve new prices, approve changes to existing prices, and provide guidance on pricing exceptions. Matters involving significant pricing strategies are escalated to the company's board or an appropriate board-level committee for approval.

The company recognizes that pricing may need to vary by market segment, distribution channel, geographic region, or risk profile. The pricing policy permits such differentiation when it is based on defensible differences in expected cost, risk, or the value of the product or service provided. Any differentiated pricing must comply with applicable legal and regulatory requirements and must be consistent with the company's overall pricing principles. In all cases, the basis for differentiation must be documented and subject to appropriate review.

The company also provides certain discounts, credits, or rebates as part of its commercial practices. Such concessions are granted only in accordance with the pricing policy and are subject to a stated maximum as defined in the company's pricing procedures. All concessions are recorded and monitored to ensure they are consistent with management's approved pricing authorities and that they do not undermine the adequacy of underlying prices.

The company monitors the outcomes of its pricing decisions on an ongoing basis. Actual experience is compared with

the assumptions used in the pricing process, and variances are analyzed and reported to management. When experience indicates that pricing assumptions are no longer reliable, the company updates its analytical models and adjusts future pricing accordingly. The pricing policy itself is reviewed at least annually, or more frequently when there are significant changes in market conditions, the company's risk profile, or the regulatory environment, and any resulting changes are approved through the same governance process used for other pricing matters.

All pricing activities are conducted within a framework of internal controls designed to ensure accuracy, completeness, and authorization. The company's internal audit function periodically reviews the pricing processes and the relevant control environment, and findings from these reviews are reported to those charged with governance.

NOTE 19.24. Domestic Operations Footprint

The Company’s domestic operations footprint comprises the physical locations and operational infrastructure through which it conducts business in the United States. This disclosure is intended to supplement, and not duplicate, the geographic information disclosure presented elsewhere in this statement set, which focuses on the external allocation of revenue and long-lived assets for financial reporting purposes. This footnote instead describes the location, scale, and function of the Company’s principal offices, production facilities, distribution centers, service network, and supporting systems.

Domestic activities are directed from the Company’s principal administrative campus, which houses executive management, finance, legal, information technology, human resources, and centralized procurement functions. From that campus, the Company manages a nationwide network of Company-operated locations. The manufacturing base includes large-scale production plants in the Midwest and Southeast, a fabrication and finishing plant in the Southwest, and regional assembly and packaging operations along the mid-Atlantic and Pacific Coast. Distribution centers are strategically positioned near major interstate highway corridors to support efficient delivery to customers, and a number of smaller warehouse and cross-dock locations serve local markets and provide overflow storage during peak demand periods.

The Company owns a portion of its domestic real property and leases the remainder under agreements that vary in term and renewal provisions. The owned properties include the principal administrative campus and the flagship manufacturing complex. The leased properties include certain distribution centers, warehouse space, sales offices, and field service offices. The Company manages this real property portfolio to align with changes in production technology, customer demand, and the broader supply chain, consolidating or expanding locations as operational requirements dictate.

The Company also maintains a dedicated service and support footprint. Sales and customer support offices are located in key metropolitan areas, and field service technicians operate from assigned territories to provide installation, maintenance, and repair services at customer sites. Research and development activities are conducted at laboratories housed within the principal administrative campus and at a manufacturing location, with additional pilot and testing space at a product development center. A smaller number of facilities specialize in custom engineering, prototype fabrication, and low-volume production for specific customer programs, complementing the larger manufacturing plants.

As of the end of the most recently completed fiscal year, the Company employed a substantial domestic workforce across production, distribution, field service, engineering, quality, and administrative functions. Employees at certain manufacturing locations are represented by labor unions under collective bargaining agreements; the Company regards its relationship with represented and non-represented employees as constructive. Staffing levels at individual locations are adjusted in response to production schedules and customer demand, and the Company periodically uses temporary employees and overtime to meet seasonal or cyclical peaks.

The domestic operations footprint is subject to a broad range of federal, state, and local regulation. The Company holds environmental, air quality, wastewater, and other operating permits for its principal production facilities, and those permits are renewed or amended as operations and regulatory requirements evolve. The Company’s properties are also subject to local zoning, building, and fire codes, as well as occupational safety and health standards. Compliance with these requirements is integrated into the day-to-day management of each facility.

Operationally, the domestic footprint is supported by a substantial base of fixed infrastructure. The larger manufacturing and distribution facilities are equipped with overhead cranes, conveyor systems, automated materials handling equipment, and specialized tooling. The Company has implemented a common enterprise resource planning platform across its principal domestic locations to coordinate production scheduling, inventory management, and order fulfillment. Utility infrastructure, including electrical substations, compressed air systems, natural gas connections, and wastewater treatment capabilities, is maintained at the major plants to support continuous production. Domestic operations generally continue throughout the year, with shifts and production runs adjusted to reflect product demand and inventory requirements rather than through any permanent seasonal closure of facilities.

NOTE 19.25. General Litigation Docket Summary

The Company is, from time to time, a party to legal proceedings and claims that arise in the ordinary course of operating a business of its size and scope. These matters are diverse in nature and typically include commercial contract disputes, including claims by and against customers, suppliers, distributors, and other counterparties; employment and wage-and-hour matters, including allegations of discrimination, harassment, retaliation, wrongful termination, and unpaid compensation; and personal injury, premises liability, automobile liability, and product liability

claims arising from the Company’s operations, facilities, vehicles, and products. The docket also includes regulatory and administrative proceedings before state and federal agencies, as well as intellectual property matters, such as allegations of infringement, misappropriation, or breach of license terms. The volume and composition of the docket fluctuate over the normal business cycle, and the processes described below apply to the Company’s management of these matters.

The Company maintains a litigation-management process intended to identify, evaluate, and respond to claims promptly and in a manner consistent with the Company’s business objectives. In the ordinary course, legal counsel, risk-management personnel, and relevant business-unit leaders review pending and threatened proceedings on a periodic basis. This review addresses the factual and legal posture of each matter, the potential range of exposure, the availability of indemnification or contractual protections, and the anticipated duration and cost of litigation. The Company also coordinates with its third-party administrators and external counsel to monitor claims that are subject to insurance coverage, self-insured retentions, or deductibles. Where insurance policies contain caps or sublimits, those responses are subject to a stated maximum. The Company regularly evaluates the adequacy of its accruals and disclosures based on the information then known, but the outcome of any individual proceeding cannot be predicted with certainty.

As part of the ordinary-course docket, the Company is involved in lawsuits at various stages of the adjudicative process. These stages include pre-suit demand and investigation, administrative charges, pleadings and motions, discovery, depositions, expert analysis, settlement discussions, mediation, and, less frequently, trial and appeal. Many matters are asserted as class, collective, or representative actions, particularly in the employment and consumer-protection contexts, although the Company vigorously defends against class certification where it believes the applicable legal standards are not met. In addition, the Company receives subpoenas, civil investigative demands, and requests for information from governmental authorities from time to time in connection with investigations of industry-wide or company-specific practices. The Company generally responds to such requests in a cooperative manner and seeks to resolve any regulatory inquiries appropriately.

The Company records a liability for a legal proceeding when it is both probable that a loss has been incurred and the amount of the loss can be reasonably estimated. For matters where a loss is reasonably possible but not probable, or where the amount of loss cannot be reasonably estimated, the Company may disclose the nature and, if known, an estimate or range of reasonably possible loss. However, because litigation is inherently uncertain, the Company cannot provide assurance that the ultimate resolution of these matters will not exceed the amounts accrued, and it may be necessary for the Company to increase its accruals or adjust its disclosures as developments occur. The Company believes that the ordinary-course litigation docket, in the aggregate, has not had, and is not expected to have, a material adverse effect on the Company’s financial condition, results of operations, or cash flows, although no assurance can be given as to the final outcome of any particular matter.

The Company also has an ongoing process for tracking pending litigation and communicating with its insurers, indemnitors, and legal advisors. This process includes maintaining a centralized litigation log, periodic reporting to senior management and the audit committee, and a regular review of significant developments. The Company’s internal legal department works with outside counsel to align litigation strategy with the Company’s business goals and to control the costs of external legal services. In addition, the Company periodically reviews its dispute-resolution provisions, including arbitration clauses, forum-selection clauses, and class-action waivers, as part of its risk-management practices. While the Company’s docket includes matters in which the Company is a plaintiff, the substantial majority of ordinary-course proceedings are those in which the Company is a defendant. The Company may also be named in proceedings that are covered by indemnification obligations owed to directors, officers, and employees, and those indemnification obligations may be subject to a stated maximum in certain circumstances.

NOTE 19.26. Insurance Program Governance

The Company's insurance program is subject to a formal governance structure that assigns responsibility for risk identification, coverage placement, claims administration, and performance monitoring to designated employees and committees. The principal risk and insurance officer leads the risk management department and has primary accountability for executing the Company's insurance strategy within the authority delegated by the risk and capital committee and the Board. The risk management department collects exposure information from operating units, coordinates with external brokers and legal advisers, administers policy documentation, and reports material findings to senior management.

The risk and capital committee, which includes the Chief Financial Officer, the Chief Operating Officer, the General Counsel, and the principal risk and insurance officer, reviews the Company's insurance arrangements on a regular cycle. This committee evaluates the continued appropriateness of existing coverages, retention levels, policy limits, and insurer relationships, and it considers whether emerging or changing exposures require modification of the insurance program. The committee approves the annual insurance plan and any significant coverage changes that arise between plan approvals. Interim decisions made by the committee are reported to the Board promptly, and any authority granted to management to bind emergency coverage is subject to a stated maximum and to subsequent ratification.

The Board of Directors retains ultimate supervisory authority over the insurance program. At least once each fiscal year, the Board reviews a summary of the Company's insurance coverages, significant retentions, material claims, and the results of management's risk assessment process. The Board also approves the governance framework

itself, including the parameters under which management may place or amend policies without additional Board approval. The Board's designated risk oversight committee receives reports from internal audit and management regarding the effectiveness of insurance administration controls and the Company's compliance with its insurance governance policies. The committee considers whether the Company's insurance program remains aligned with the risk profile approved by the Board.

Insurance placements are made through a competitive process administered by the risk management department and licensed brokers. The Company evaluates brokers on the basis of their qualifications, market access, independence, and claims handling capabilities, and it maintains at least one alternative broker relationship for most significant lines of coverage. Insurers are selected using objective criteria, including financial strength ratings, regulatory standing, and demonstrated claims-paying experience. The Company diversifies its placement of coverage among a group of unrelated insurers to reduce concentration risk. A written record is prepared for each material placement, documenting the coverage selected, the rationale for the placement, the premiums to be paid, and the policy terms accepted. All policy documents are reviewed against the approved terms and conditions, and the Company maintains a central repository of policies, binders, endorsements, and certificates.

Claims governance is designed to ensure that losses are reported and resolved in a timely and accurate manner. The risk management department tracks claims against the policies that are expected to respond, monitors the progress of significant adjustments, and coordinates with legal counsel and third-party administrators where appropriate. The department also reviews claim history to identify trends, evaluate whether coverage limits and retentions remain appropriate, and recommend loss prevention initiatives. Material claims, coverage disputes, and recovery developments are reported periodically to the risk and capital committee and, where significant, to the Board.

The internal audit function provides an independent assessment of the insurance program governance framework. Internal audit tests controls over exposure data collection, premium calculation and payment, policy issuance, certificate administration, and claims handling. Audit findings are communicated to management and to the Board's designated risk oversight committee, and management is required to track corrective actions to completion. Through this layered structure of management ownership, executive committee direction, Board oversight, and internal audit verification, the Company maintains an insurance governance process that is deliberate, transparent, and responsive to changing circumstances.

NOTE 19.27. Tax Filing Jurisdictions Overview

The Company is a United States private company that files tax returns in the federal, state, and local jurisdictions where its operations or legal entities establish sufficient nexus, and in the foreign jurisdictions where its subsidiaries and branches are organized or conduct business. For United States federal income tax purposes, the Company files a consolidated federal income tax return that includes the parent company and all eligible domestic subsidiaries. The federal return is prepared on the Company's annual accounting period and incorporates the intercompany eliminations and adjustments required by the applicable consolidated return regulations. The Company also files separate and combined state income and franchise tax returns as required by the laws of each state in which it has a filing obligation. State filing approaches vary among the jurisdictions, and the Company determines its state taxable income using the apportionment and allocation rules prescribed by each state, including the treatment of sales, property, and payroll.

Outside the United States, the Company's foreign subsidiaries and branches file income tax returns in each country where they are organized, registered, or have a taxable presence. These returns are prepared in accordance with the local tax law and the statutory accounting requirements of the relevant jurisdiction. The Company also files value-added tax, goods and services tax, and similar indirect tax returns in the countries where it makes taxable supplies or receives taxable services. With respect to cross-border payments, the Company satisfies applicable withholding and reporting obligations for dividends, interest, royalties, and intercompany service fees, giving effect to relevant income tax treaties and local law. Transfer pricing between the Company and its foreign affiliates is supported by contemporaneous documentation and reflects the arm's length standard.

In addition to income and indirect taxes, the Company files property tax returns, payroll tax returns, and sales and use tax returns in the jurisdictions where it owns tangible property, employs personnel, or sells goods and services to customers. These obligations are managed on a jurisdiction-by-jurisdiction basis, and the Company regularly reviews its activities and presence to determine whether new filing obligations have arisen or whether existing obligations should be discontinued. The Company also monitors changes in state economic nexus standards and foreign permanent establishment rules to keep its filing footprint aligned with its actual business activities.

The Company evaluates its tax filing positions in each jurisdiction using the relevant statutes, regulations, and administrative interpretations. Where a filing position involves uncertainty, the Company assesses the sustainability of the position and records the expected outcome in its consolidated financial statements. The Company believes that its tax filings are consistent with applicable law and that the provisions recorded for income taxes and other taxes are appropriate. The periods open to examination by taxing authorities vary by jurisdiction, and no assurance can be given that an examination will not result in proposed adjustments; however, the Company does not currently expect any such adjustment to have a material adverse effect on its financial position, results of operations, or cash flows.

NOTE 19.28. Accounting Policy Election Governance

The Company maintains a formal governance framework for its own accounting policy elections. The framework identifies the personnel and committees responsible for proposing, approving, documenting, applying, and

reassessing each election, and it is designed to produce accounting that is consistent with the applicable financial reporting framework and with the Company's actual business arrangements. The accounting policy group administers the framework under the direction of the chief accounting officer. The principal financial officer approves significant policy elections and changes to those elections, and the audit committee of the board of directors provides oversight and is informed of material policy election decisions.

The Company's accounting policies and the elections contained within them are captured in a written accounting policy manual. Alongside the manual, the Company maintains a standing accounting policy election register. For each election, the register identifies the relevant accounting standard, the specific alternative or policy choice selected, the rationale for the selection, the business activities affected, and any conditions that would trigger reconsideration. The register provides a practical source of control over the consistency and governance of elections across the Company and its subsidiaries.

Before a policy election is applied, the technical accounting group develops a written analysis of the permitted alternatives. The analysis includes the facts and circumstances of the underlying transaction or arrangement, the guidance applicable under the selected framework, the expected effect of the alternative on the financial statements, and the administrative and operational effort required to apply the election on a continuing basis. The technical accounting group consults with operations, legal, tax, and treasury personnel as needed, and with external advisers when a matter involves significant judgment or complexity. A proposed election may be applied on a provisional basis only when the applying personnel clearly document that final approval is required before the financial statements are issued.

Approval authority for an election depends on its significance. The chief accounting officer may give final approval for less significant elections. Significant elections require approval by the principal financial officer, and where required by the Company's internal governance procedures, by the audit committee. Every approval is documented in writing, and any condition attached to the approval is recorded in the policy election register. Approval does not end the governance process; each election remains subject to the Company's ongoing monitoring and reassessment controls.

The Company reassesses its accounting policy elections on a recurring schedule and whenever events suggest that a previously selected policy may no longer be appropriate. At least annually, the accounting policy group reviews the full set of elections in the register. This review assesses whether the elections remain available under the applicable accounting standards, whether the underlying business activities have changed, and whether the original rationale remains valid. If a new accounting standard is issued or an existing standard is amended, the Company performs an interim reassessment of each election affected by that standard during the current diligence period before the standard's effective date. The reassessment also occurs when the Company enters into a new financing arrangement, undertakes a business combination or disposition, changes its legal structure, or otherwise experiences a significant change in the manner in which it conducts its operations.

If a reassessment indicates that a change in an election is appropriate, the proposed change goes through the same approval process as a new election. The Company changes an election only when the change would be consistent with the applicable accounting framework and would provide a better representation of the Company's financial position and results of operations. Changes are applied in the reporting period in which the facts, circumstances, or accounting requirements support the change, and the application is consistent with the transition provisions of the applicable standard. If a standard does not specify transition, the Company applies the change prospectively from the period of reassessment. All changes are documented, approved, and reflected in the updated accounting policy manual and policy election register.

The Company's internal controls over financial reporting include controls designed to identify new transactions or events that may require an accounting policy election, to monitor changes in accounting standards and regulatory requirements, to track the status of pending elections, and to prevent the use of an unapproved election. These controls are integrated into the Company's period-end financial reporting process. The accounting policy group reports periodically to the principal financial officer on the status of the policy election register, including any elections under review or pending approval. In addition, the internal audit function, where applicable, may review the policy election governance framework as part of its broader assessment of the Company's financial reporting controls.

The Company communicates changes in accounting policy elections to all finance, operations, and reporting personnel through the updated policy manual, targeted memoranda, and periodic training. This communication process is intended to ensure that each approved election is applied consistently from period to period and that personnel do not revert to a previously superseded policy. The process also helps ensure that upstream reporting by subsidiaries is prepared on the same basis as the consolidated financial statements.

NOTE 19.29. Use of Non-GAAP Financial Measures Policy

The Company's management uses certain supplemental financial measures that are not prepared in accordance with accounting principles generally accepted in the United States of America. These non-GAAP financial measures are presented only in supplemental disclosures and are used by management to evaluate the Company's operating performance, to allocate resources, and to assess trends in the underlying business. The Company does not present any non-GAAP financial measure in the face of the consolidated financial statements or in a manner that gives the measure greater prominence than the most directly comparable U.S. GAAP measure. In every presentation of a non-GAAP financial measure, the Company identifies the measure as non-GAAP, defines the measure, and discloses the

reasons why management believes the measure provides useful information to users of the financial statements. Management's policy requires that each non-GAAP financial measure be reconciled to the most directly comparable U.S. GAAP financial measure for the same period. The reconciliation must be presented with the same degree of prominence as the non-GAAP measure and must identify each specific adjustment separately. The policy does not permit a non-GAAP measure to be presented unless the reconciliation can be prepared directly from the Company's accounting records. A non-GAAP financial measure may exclude an item only when the exclusion is consistent with the definition established by management and the item is either non-cash in nature, not indicative of the Company's core operating results, or otherwise not expected to recur in the ordinary course of business. All adjustments are applied consistently from period to period, and any change in the definition of a non-GAAP measure is disclosed in the period in which the change is made, together with an explanation of the change and the effect of the change on the measure then presented.

The Company's policy also addresses the manner in which non-GAAP financial measures are described and labelled. No non-GAAP financial measure may be titled or described in a way that could be confused with a U.S. GAAP measure. Each non-GAAP measure must be accompanied by a clear statement that the measure is not a substitute for U.S. GAAP and should not be considered in isolation from, or as an alternative to, the most directly comparable U.S. GAAP financial measure. Because other companies may define similarly titled non-GAAP measures differently, the Company presents its non-GAAP financial measures with sufficient definitional detail to enable users to understand the basis on which the measure has been prepared. The Company does not present a non-GAAP financial measure for a period without also presenting the most directly comparable U.S. GAAP measure for the same period.

The senior management of the Company is responsible for the approval and ongoing oversight of all non-GAAP financial measures included in external reporting. Proposed new non-GAAP measures or changes to existing definitions are reviewed and approved before they are used. The audit committee of the board of directors oversees the Company's presentation of non-GAAP financial measures as part of its review of the consolidated financial statements and supplemental disclosures. The Company's policy is to revisit each non-GAAP measure periodically to confirm that the measure continues to provide meaningful supplemental information and that its presentation remains transparent and not misleading. If management determines that a non-GAAP measure no longer provides useful information, the measure is discontinued and the reason for its discontinuation is disclosed.

NOTE 19.30. Segment Reporting Methodology Overview

The Company's segment reporting methodology is built on the internal management reporting framework used by the chief operating decision maker. The chief operating decision maker function is performed by the Company's executive management team, which has final authority for resource allocation, operating budgets, and performance evaluation for the Company's businesses. An operating segment is identified when a component of the Company earns revenues and incurs expenses, has discrete financial information that management regularly reviews, and has a segment leader or group accountable for its results. The Company uses the same measures in its external segment presentation that the chief operating decision maker uses internally, adjusted for any presentational differences required for consolidation.

The chief operating decision maker evaluates segment performance primarily through segment revenues, segment operating profit, and segment operating cash flows. These measures are viewed as the most direct indicators of each business's underlying profitability and cash generation. Segment operating profit includes direct operating costs, manufacturing and service delivery costs, and selling, general, and administrative expenses attributable to the segment, along with allocations of shared operating expenses. Allocation methods are designed to approximate the resources consumed by each segment and are applied consistently. Segment operating profit generally excludes corporate oversight costs, enterprise-wide technology and administrative functions, interest income and expense, other non-operating items, and income taxes. These unallocated corporate items are reconciled to consolidated results in the segment note.

Transactions between segments are recorded in the internal management reports as if the segments were operating on a standalone basis. The transfer pricing basis is set by management with reference to observable commercial arrangements and is intended to allow each segment's results to reflect the value of the products and services it provides. The Company eliminates intercompany revenues, expenses, receivables, and payables in consolidation. Any intercompany profit that remains in inventory or other assets at the end of the reporting period is eliminated in the consolidated financial statements. Segment disclosures reflect segment results before such elimination, and the elimination effects are included in the unallocated reconciling column.

The Company's reportable segments are based on the grouping of operating segments for which operating results are most regularly reviewed. The Company may aggregate two or more operating segments into a single reportable segment only when the segments share similar economic characteristics and when the aggregation is consistent with the objective of the segment information. In making this assessment, the Company considers the nature of the products and services, the methods used to provide and distribute those products and services, the types of customers served, and the regulatory environment. The Company also considers historical and expected financial performance, including revenue and operating margin trends, to support a conclusion that the aggregated segments have similar long-term financial performance. This aggregation assessment is performed at each annual reporting period, and no changes were made during the most recently completed fiscal year.

The accounting policies used to prepare segment measures are the same as those used for the consolidated financial statements, with limited exceptions that are necessary to reflect how management measures segment operations. For example, certain shared assets are assigned to segments through depreciation-type allocations, while the underlying depreciation may be recorded at a corporate entity. Similarly, certain insurance or warranty costs may be allocated over time rather than recorded when the corporate function incurs the cost. The effect of these differences is not material to the segment measures when considered against the operating results for each segment. Changes to the Company's segment reporting methodology occur only when the internal reporting structure or the basis of measurement used by the chief operating decision maker changes. In such circumstances, the Company would recast prior period segment information to conform to the new methodology. During the current reporting period, there has been no such change, no change in the composition of the Company's reportable segments, and no change in the way operating results are allocated to segments. The methodology described above is applied consistently in all periods presented.

NOTE 19.31. Going Concern Assessment Process

Management is responsible for evaluating whether substantial doubt exists about the company's ability to continue as a going concern within one year after the date the consolidated financial statements are available to be issued. This evaluation is performed in accordance with accounting principles generally accepted in the United States and is conducted at the close of each annual reporting period and updated at each subsequent interim reporting period. The evaluation encompasses all relevant conditions and events that are known or reasonably knowable as of the evaluation date, including both quantitative and qualitative information.

The assessment begins with a review of the company's historical operating results, cash flows, liquidity, and capital resources for the most recently completed fiscal year and for any interim period then elapsed. Management prepares a forward-looking projection of operating performance, cash receipts and disbursements, and funding availability for the succeeding twelve-month period. The projection is developed at a level of granularity that reflects management's best estimate of expected future conditions, and it is refreshed whenever events or circumstances suggest that a change in assumptions is warranted. Key assumptions underlying the projection, including expected customer demand, pricing, collection timing, supplier payment terms, and planned capital expenditures, are challenged by senior management through a structured review process.

As part of the evaluation, management identifies conditions and events that could, either individually or in the aggregate, cast doubt on the company's ability to meet its obligations as they become due. These indicators are assessed across several categories. Operating indicators include recurring losses from operations, negative cash flows from operating activities, and deteriorating financial ratios. Liquidity indicators include insufficient cash on hand to support normal operations, an inability to access trade credit, and a heavy reliance on a limited number of funding sources. Financing indicators include anticipated difficulty in complying with financial covenants, the approaching maturity of existing indebtedness without a demonstrated ability to refinance, and the loss of a committed financing arrangement. External indicators include the loss of a principal customer or supplier, the filing of material litigation against the company, and significant changes in the regulatory, competitive, or economic environment in which the company operates. For each indicator identified, management evaluates the magnitude of its potential impact and the likelihood that the underlying condition or event will continue or materialize.

Where adverse indicators are present, management evaluates whether the company's available sources of liquidity, considered in the aggregate, will be sufficient to satisfy its obligations as they come due over the evaluation period. Available sources include cash and cash equivalents on hand, cash expected to be generated from operating activities, proceeds from the disposition of assets, and amounts accessible under committed borrowing arrangements, subject to a stated maximum borrowing amount and to the satisfaction of the conditions set forth in the applicable agreements. Management considers the timing and reliability of each source of liquidity relative to the expected timing of related cash outflows, including scheduled principal and interest payments, operating expenditures, and capital commitments.

In circumstances where management determines that adverse conditions or events, after considering other factors, could reasonably be expected to affect the company's ability to meet its obligations, management develops a course of action designed to mitigate the effect of those conditions or events. The course of action may include reducing or deferring discretionary expenditures, accelerating the collection of outstanding receivables, disposing of non-core or underperforming assets, negotiating extended payment terms with vendors, restructuring or refinancing existing indebtedness, or obtaining additional financing through equity or debt instruments. Management assesses whether each element of the course of action is within its control, whether it is likely to be successfully executed, and whether its execution would be timely enough to alleviate the adverse conditions or events before the company's liquidity is exhausted. The anticipated financial effect of the course of action is incorporated into the forward-looking projection described above wherever the action has a direct and estimable impact on expected cash flows.

The completed going concern evaluation is documented in writing by management and is subject to review by the company's senior leadership and by the board of directors as part of the financial statement finalization process. Management's documentation sets forth the indicators identified, the liquidity assessment, and, where applicable, the planned mitigating actions. The evaluation also gives consideration to conditions and events arising after the date of the consolidated statement of financial position through the date the consolidated financial statements are available for issuance, and management considers whether any such subsequent development materially changes the

assessment.

NOTE 19.32. Management's Internal Controls Assessment Process

Management is responsible for establishing and maintaining adequate internal control over financial reporting. This assessment process is designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of consolidated financial statements in accordance with generally accepted accounting principles. The process is risk-based and structured to identify the areas of highest potential for material misstatement, considering both quantitative and qualitative factors inherent in each significant account and disclosure.

The assessment begins with a comprehensive evaluation of the control environment, which includes the organization's commitment to integrity and ethical values, the effectiveness of the board of directors and its committees in exercising oversight, and the manner in which management assigns authority and responsibility. Management then performs a top-down risk assessment to identify financial reporting risks at both the entity level and the process level. This involves understanding the flow of transactions, the information systems used to process them, and the specific assertions relevant to each significant account and disclosure.

For each significant process, management documents its understanding of key controls and evaluates whether those controls are suitably designed to prevent or detect errors on a timely basis. This design evaluation considers whether the control objectives align with the identified risks and whether the control activities, such as approvals, authorizations, verifications, reconciliations, and segregation of duties, are appropriately placed within the process. Additionally, management assesses the general information technology controls that support the integrity of automated controls and the data they process, including access management, change management, and system operations.

To evaluate operating effectiveness, management performs a combination of inquiries of personnel, observation of control execution, inspection of documentary evidence, and re-performance of the control by independent assessors. The nature, timing, and extent of these tests are tailored to the risk associated with each control and the materiality of the accounts affected. Controls are tested throughout the period, with heightened scrutiny applied to higher-risk areas and to controls that operate on a less frequent basis. Any deviations noted during testing are evaluated to determine whether they are isolated or indicative of a systemic issue, and all results are documented in a controlled repository.

All control deficiencies identified during the assessment are evaluated for their severity and compensating controls. Management classifies each deficiency as a deficiency, a significant deficiency, or a material weakness based on the likelihood and magnitude of potential misstatement. Any deficiency that rises to the level of a material weakness is disclosed to the audit committee and to the independent external auditors. For each significant deficiency or material weakness, management develops a remediation plan that includes specific actions, ownership, and a targeted completion timeline. Remediation progress is tracked and tested to confirm that the corrective measures have been implemented and are operating effectively.

The overall assessment process is overseen by a dedicated internal controls group reporting to management, with periodic updates provided to the audit committee and the board of directors. Management conducts separate evaluations of the internal control system on an ongoing basis, supplemented by a comprehensive assessment at the end of each fiscal period. These evaluations include the use of internal audit resources, self-assessments by process owners, and direct monitoring from the controls group. The conclusions reached through this process are formally documented, including any identified deficiencies and the rationale for their classification, and the aggregate results inform management's certification of the financial statements. This continuous and iterative cycle ensures that internal control assessments remain responsive to changes in the business, its processes, and the risks it faces.

NOTE 19.33. Whistleblower and Compliance Reporting Program

The Company maintains an enterprise-wide whistleblower and compliance reporting program designed to facilitate the prompt and confidential reporting of concerns related to accounting practices, internal controls over financial reporting, auditing matters, fraud, illegal conduct, harassment, retaliation, and violations of the Company's code of conduct or any applicable legal or regulatory requirement. The program is administered by the chief compliance officer under the direction of the general counsel, with ultimate oversight by the committee of the board of directors responsible for audit and risk oversight. That committee has adopted a written charter and a stand-alone whistleblower policy that are reviewed and updated periodically to reflect changes in applicable law and developments in corporate governance practices.

Reports may be submitted through a variety of accessible channels, including a toll-free telephone hotline, a secure internet-based reporting portal, a dedicated email mailbox, and direct communication with any member of management, the human resources department, the internal audit function, the chief compliance officer, the general counsel, or the chair of the audit committee. To encourage candor and to reduce any apprehension about reprisal, the program permits individuals to make reports anonymously to the fullest extent allowed by applicable law. The telephone hotline and the internet-based portal are operated by an independent third-party service provider that has no involvement in the Company's day-to-day operations and that transmits each report to the Company's compliance team without alteration or filtering.

Each report received through any channel is promptly logged into a confidential case-management system and assigned a unique reference identifier so that the matter can be tracked without unnecessarily revealing the identity of the reporter. The chief compliance officer, working with the general counsel and, where appropriate, the internal audit function, triages every report based on the nature, credibility, and severity of the allegations. Concerns involving

financial statement preparation, the integrity of the Company's accounting records, internal control deficiencies, or the independence of the Company's independent auditors are escalated immediately to the chair of the audit committee. Other matters are routed to the investigation owner best suited to the subject matter, including human resources for workplace conduct issues, procurement for concerns involving suppliers or vendors, information technology for data privacy and cybersecurity matters, and the Company's environmental health and safety team for allegations involving workplace safety.

Investigations are conducted with a level of formality and depth commensurate with the significance of the allegations and the sensitivity of the issues raised. Investigation teams may include personnel from legal, compliance, human resources, internal audit, finance, and the affected business unit, and the Company may engage external counsel, forensic accountants, or other independent specialists when warranted by the facts and circumstances. All investigators are instructed to preserve the confidentiality of the identity of the reporter and of any individuals described in the report to the extent reasonably practicable and consistent with the needs of the investigation and applicable law. The Company conducts investigations in a fair and objective manner, affording appropriate due process to all parties involved, and the Company does not dismiss or minimize any concern without an adequate factual inquiry.

The Company maintains a rigorous prohibition on retaliation against any individual who in good faith reports a concern or who participates, assists, or cooperates in any investigation, proceeding, or hearing related to a report. Retaliation is treated as a serious violation of Company policy that is independent of the underlying allegation and may result in disciplinary action, up to and including termination of employment or of the applicable business relationship. This non-retaliation commitment is set forth prominently in the Company's code of conduct and in the whistleblower policy, and it extends not only to employees but also to officers, directors, consultants, contractors, suppliers, and other third parties who do business with the Company.

The Company communicates the whistleblower and compliance reporting program through multiple channels so that all stakeholders understand how to raise concerns and what to expect after a report is made. All employees, including supervisory and management personnel, are required to participate in periodic training on the program as part of the Company's broader compliance training curriculum. New employees receive instruction on the program during onboarding, and all employees receive refresher training on at least an annual basis. The training curriculum covers the types of conduct that should be reported, the various channels through which reports can be submitted, the availability of anonymous reporting, the Company's non-retaliation policy, and the manner in which the Company triages and investigates reports. The Company also promotes awareness through notices posted in common workplace areas, the employee handbook, and the Company's internal intranet site, where the whistleblower policy and reporting instructions are available at all times.

The audit committee of the board of directors receives regular summaries of all reports submitted through the whistleblower program, including the nature of the allegations, the status of each investigation, and the outcomes and remedial actions taken. The committee is informed promptly of any matter that raises a significant legal, financial, or reputational risk or that involves an executive officer, a member of the board, or a material weakness in internal control. In addition to reviewing individual matters, the committee periodically assesses the overall effectiveness of the program, including reporting trends, the timeliness and thoroughness of investigations, the adequacy of corrective measures, and whether any changes to the whistleblower policy or the supporting governance structure are needed. Through this ongoing oversight, the board and the audit committee seek to foster a culture of accountability, integrity, and ethical conduct throughout the Company and to provide all stakeholders with a reliable and meaningful mechanism for raising concerns without fear of reprisal.

NOTE 19.34. Vendor Contract Management Practices

The Company maintains a centralized vendor contract management program to govern the lifecycle of agreements with third-party service providers, software licensors, consultants, and other suppliers. Vendor contracts are logged in a single contract repository immediately upon execution, and each record includes the legal counterparty, the business owner, the service category, the renewal or expiration timing, and the applicable notice provisions. Access to the repository is role-based, with read-only access extended to internal audit and external auditors and editing rights limited to personnel in procurement, legal, and the relevant business function.

Contract intake follows a standardized workflow. Before a vendor is added to the approved vendor roster, the proposed engagement is subject to a business case review, a background screening of the vendor, and an evaluation of the vendor's financial stability, cybersecurity posture, insurance coverage, and compliance with the Company's code of conduct. The required level of diligence varies with the risk profile of the service, and higher-risk arrangements, such as those involving protected personal information, critical operational infrastructure, or regulated activities, receive additional review by the legal and compliance functions. All vendor agreements must be reviewed by the legal department before execution, and agreements exceeding dollar approval levels established by the Board or its delegated committee require the appropriate officer signature in accordance with the Company's delegation of authority policy.

Standard contractual terms are embedded in the Company's master services agreement and related schedules. These terms address scope, delivery timelines, fees, invoicing, payment terms, warranties, indemnification, limitations of liability, data protection, confidentiality, intellectual property ownership, audit rights, insurance requirements, and remedies for non-performance. Limitations of liability are negotiated with each vendor and are

subject to a stated maximum where applicable. Where a vendor's services are critical to the Company's operations, the agreement includes business continuity and disaster recovery commitments, service level targets, and escalation procedures. The Company seeks to incorporate a right to terminate for convenience upon advance notice and a right to terminate for cause upon uncured material breach, with transition assistance obligations designed to support orderly exit.

Vendor performance is monitored against contractual commitments throughout the term. The business owner is responsible for confirming that services are delivered in accordance with the agreement, and any material underperformance is documented and addressed through a formal issue log. For significant vendors, the Company holds periodic operational reviews covering service levels, open incidents, change requests, and risk themes. Any recurring failure to meet service commitments is escalated through the Company's governance process, and the Company may exercise available remedies, including service credits, corrective action plans, or termination, as appropriate. Price changes, amendments, and scope expansions must be approved through the same delegation-of-authority process as the original agreement.

Renewal management is handled on a forward-looking basis. The contract repository generates a list of agreements approaching renewal, and the responsible business owner must confirm whether the service remains needed, whether the pricing remains competitive, and whether the vendor's performance supports continuation. For renewals above dollar approval levels, a competitive sourcing process is required unless a sole-source justification is documented and approved. The Company also uses the renewal process to update standard terms, refresh insurance certificates, and reconfirm data protection commitments. When an agreement is not renewed, the Company follows a documented offboarding procedure that includes extraction of Company data, return of Company property, deprovisioning of access, and final financial reconciliation.

Records retention and audit support are integral to the program. Fully executed agreements, amendments, exhibits, and related approvals are retained for the duration of the relationship and for a defined retention period after termination in accordance with the Company's records retention schedule. Contract-related correspondence, including notices and consent requests, is archived with the underlying agreement. The Company's internal audit function periodically assesses the vendor contract management process to confirm that controls are operating effectively and that the contract repository accurately reflects the Company's contractual rights and obligations. Findings from these assessments are reported to the audit committee and tracked to remediation.

NOTE 19.35. Records Retention Policy

The Company maintains a comprehensive records retention policy that governs the creation, classification, maintenance, retrieval, and disposition of records and information assets across all departments, business units, and legal entities included in these consolidated financial statements. The policy applies equally to records held in physical form, records stored in the Company's electronic information systems, and records maintained by third-party service providers on the Company's behalf. The purposes of the policy are to facilitate compliance with applicable federal and state laws and regulations, to support financial reporting and audit requirements, to preserve evidence relevant to contractual arrangements and potential litigation, and to promote operational efficiency through the systematic management of information.

The policy establishes defined categories of records, including but not limited to financial and accounting records, tax and regulatory compliance records, corporate governance documents, contracts and agreements, legal and litigation-related files, insurance policies, personnel and payroll records, environmental, health, and safety records, intellectual property records, and operational and production data. Each category is assigned a retention schedule that reflects the longer of the period required by applicable law or regulation, the period required by the terms of any relevant contractual arrangement, and the period reasonably necessary for the Company's own operational and audit needs. Where no external requirement dictates a longer holding period, general administrative and operational records are retained for a minimum of three years from the end of the fiscal year in which the record was created or last materially amended, subject to a stated maximum of ten years, after which such records become eligible for orderly disposition. Financial statements and the underlying general ledger records are retained for a period consistent with applicable statutory requirements, and corporate governance records such as articles of incorporation, bylaws, and board minute books are retained permanently.

Retention periods are measured from the later of the date the record was created, the date the record was last materially updated, or the date the record was last relied upon for a substantive business purpose, except where a statute, regulation, or contract prescribes a different starting point. The Company has adopted a legal hold protocol that suspends all routine retention and disposition activities with respect to records that are relevant to pending or threatened litigation, government investigations, regulatory examinations, internal investigations, or external audits. When a legal hold is imposed, the affected records are preserved in their original or near-original form, and the hold remains in effect until it is formally released by the Company's legal counsel or by the external party that imposed the hold. The existence of a legal hold does not alter the underlying retention schedules; it merely prevents destruction until the matter giving rise to the hold is resolved.

Records are stored in a manner that ensures they are readily accessible to authorized personnel and that protects them from unauthorized access, alteration, or destruction. Electronic records are maintained in secured systems with role-based access controls, audit trails, and routine backup procedures. Backup media and disaster recovery protocols are designed to allow restoration of records in the event of a system failure or an unplanned disruption, and

the Company periodically tests its restoration procedures. Physical records are stored in secure, access-controlled facilities that provide reasonable protection against fire, water damage, and unauthorized removal. Third-party storage providers are engaged under written agreements that require them to maintain preservation standards consistent with the Company's own practices and to return or destroy records at the conclusion of the applicable retention period in accordance with the Company's instructions.

When a record reaches the end of its applicable retention period and is not subject to a legal hold, the record is destroyed or deleted through a method appropriate to the sensitivity and format of the information. Paper records are shredded, and electronic records are deleted using certified data erasure techniques or, where necessary, through physical destruction of the storage media. Each disposition event is documented in a disposition log that records the category of records destroyed, the date span covered by the records, the method of destruction, and the personnel responsible for authorizing and performing the disposition. Disposition logs are themselves retained as a permanent record and are subject to review during the Company's periodic internal audits.

Responsibility for the administration and enforcement of the records retention policy is assigned to the Company's Finance department, which consults with external and internal legal counsel regarding changes to legal and regulatory requirements and updates the retention schedules as necessary. The policy is communicated to all employees at the time of hire and on a recurring basis thereafter, and employees with significant records management responsibilities receive additional training tailored to their roles. The Company's internal audit function monitors compliance with the policy on a periodic basis, and any material findings are reported to the Company's senior management and audit committee. The Company believes that its records retention practices are reasonably designed to comply with applicable requirements and to preserve information needed to support the consolidated financial statements and the audit thereof for the periods presented.

NOTE 19.36. Financial Statement Preparation and Review Process

For the most recently completed fiscal year, management prepared and reviewed the consolidated financial statements in accordance with the process described below. The financial reporting process begins with the Company's monthly close and account reconciliation cycle. Each subsidiary and operating unit performs its own close, including the posting of recurring accruals, the recording of inventory movements, and the resolution of outstanding intercompany balances. Once local account balances are finalized, they are uploaded into the consolidation system, where intercompany balances and transactions are eliminated and noncontrolling interests are recognized. The accounting department then reviews the consolidated trial balance for completeness and consistency.

During the close, account owners complete standard reconciliations for cash, trade receivables, other receivables, inventories, prepaid expenses, property and equipment, intangible assets, accounts payable, accrued liabilities, employee-related liabilities, intercompany receivables and payables, and equity. Each reconciliation is prepared from the underlying general ledger system and supporting detail schedules. The personnel responsible for a reconciliation sign off only after the balance agrees to the general ledger and after all reconciling items are understood. The senior accountant reviews the reconciliations for reasonableness, and the controller reviews the resulting balances, including any changes from prior periods. Significant fluctuations are investigated by the appropriate operational or finance leader before the consolidated results are considered complete.

At each quarterly period end and at the fiscal year end, the close is extended to include additional procedures. Operations managers certify physical inventory counts and property existence checks. The technical accounting team evaluates uncertain tax positions, legal contingencies, asset recoverability, goodwill impairment indicators, and obligations associated with long-term arrangements. Management obtains third-party information where necessary, including legal counsel responses and actuarial or other specialist reports, and evaluates that information for consistency with the accounting policies described in the footnotes. The resulting judgements are documented in technical accounting memoranda, which are reviewed by the controller and, where significant, by the chief financial officer.

After the close procedures are complete, the accounting staff prepare the consolidated financial statements, the related footnotes, and the financial statement schedules. The draft package is prepared using a financial reporting software application and is compared with the prior period statement package to identify classification changes and presentation inconsistencies. The controller performs a detailed line-by-line review of the draft statements and footnotes, including a verification of the mathematical footing and cross-references. A separate disclosure checklist is completed to ensure that all required disclosures are addressed. The chief financial officer then reviews the overall statement package, including the accompanying analysis of operating results, to confirm that the statements are complete and that the accounting treatment of material transactions is appropriate. Where new accounting standards are applicable, the finance team prepares an assessment and, if necessary, a transition memo for management review.

Before final approval, the draft statements are circulated to the chief executive officer and, as appropriate, to the Board of Directors or a designated committee of the Board. Management discusses significant judgements, unusual transactions, and the results of the audit with the independent auditors. During the audit, the auditors provide a list of unadjusted differences and management evaluates each item for correction; items that are not corrected are included in a summary that management accepts. After all proposed adjustments are posted and the final review of the statements is completed, the chief financial officer and chief executive officer approve the statements for issuance.

The entire process is completed by the close of the current diligence period, and the audit report is issued after the Board or its committee has approved the final statement package.